

Playbook for Growth Acceleration and Turnaround in E-Commerce and Online Marketplace businesses

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Disclaimer

Views expressed are completely personal and may or may not reflect views of my employer

This is a personal project and no company resources were used in its preparation

All data are from public sources or estimated from public sources like annual reports, investor presentations, press reports, company filings etc.

A lot of care has been taken in estimations and charts. Any errors are regretted

None of this should be construed as investment advice and should be used primarily for informational purposes only

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Many E-commerce and Marketplace platforms/businesses face these common ‘challenges’ when trying to drive growth

“Customers are not transacting despite discounts”

“Customers are not coming back for repeat transactions”

“We cannot get customers to try our platform”

“Customers are not aware of the platform”

“Customers disappear once we pull back promotions”

“Customers are aware of us but don’t think of us when they encounter the problem”

“Our newer categories are not seeing as much interest as our first category”

“We are not able to expand to more customers beyond our initial set of customers”

These challenges show up in one or more of these metrics sooner or later

Y-o-Y Growth

**Customer
Retention/Churn**

Orders per customer

**Customer acquisition
cost**

Market Share

Cross-sell %

Top-of-mind recall

**Platform
Consideration**

**Discounts/Incentives
share of GMV**

But these are just manifestations and not the real reasons why growth is not happening

You have to address the key reasons for growth slowdown and decline

The biggest reasons why growth stalls or reverses

1 The Platform/Offering does not stand out vs. alternatives

2 The Problem being solved is not very important to (many) customers

3 The solution stands out but appeals to a limited set of customers

4 The poor customer experience may turn off customers from returning again

5 The customer was not 'reached' effectively

6 The solution may not be sustainable

7 The platform appeals to customers but may be difficult to monetize

8 There are macro challenges

We will look at each of these challenges/reasons with examples

1. The Platform does not stand out vs. alternatives

To win, an e-commerce or marketplace platform must stand out on one or two important 'dimensions' that customers value



US market leader: Fast and reliable **delivery** with wide **selection**



Latam market leader: Wide **selection** with high trust **payments**



Online Hotels leader: Widest **global selection** of hotels



India Fashion leader: Wide **Premium Selection**



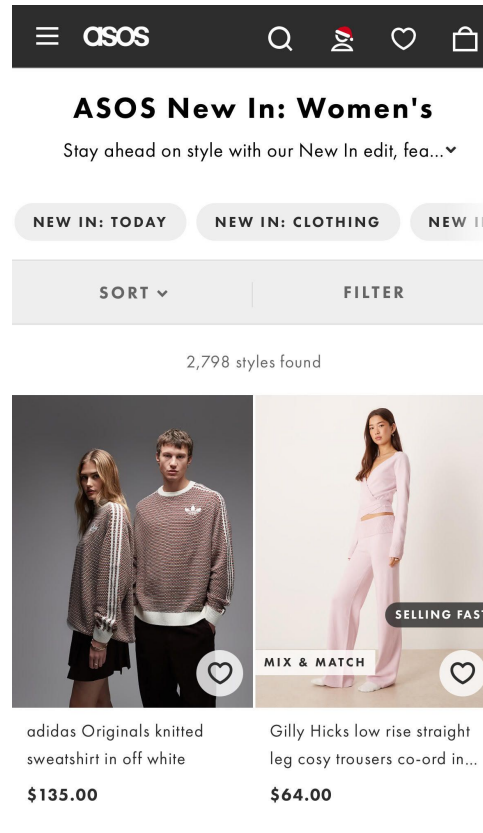
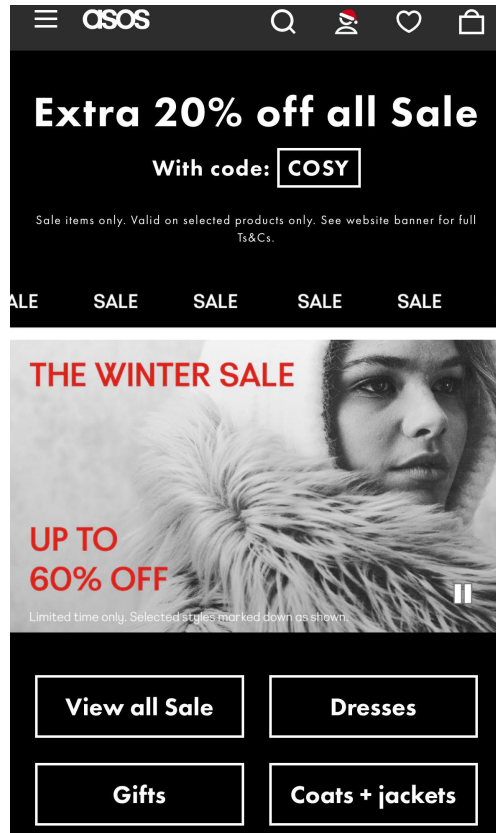
South Korea leader: Very fast 'rocket **delivery**'



Ride hailing: High **availability** of on-demand rides

1. The Platform does not stand out vs. alternatives

Example: Asos, British online fashion pioneer down 90% value in last 10 years



ASOS (literal acronym for 'as seen on screen') was the British online fashion pioneer but has lost its way in the last 7 years

Sales has taken a big hit in the last three years with mounting losses

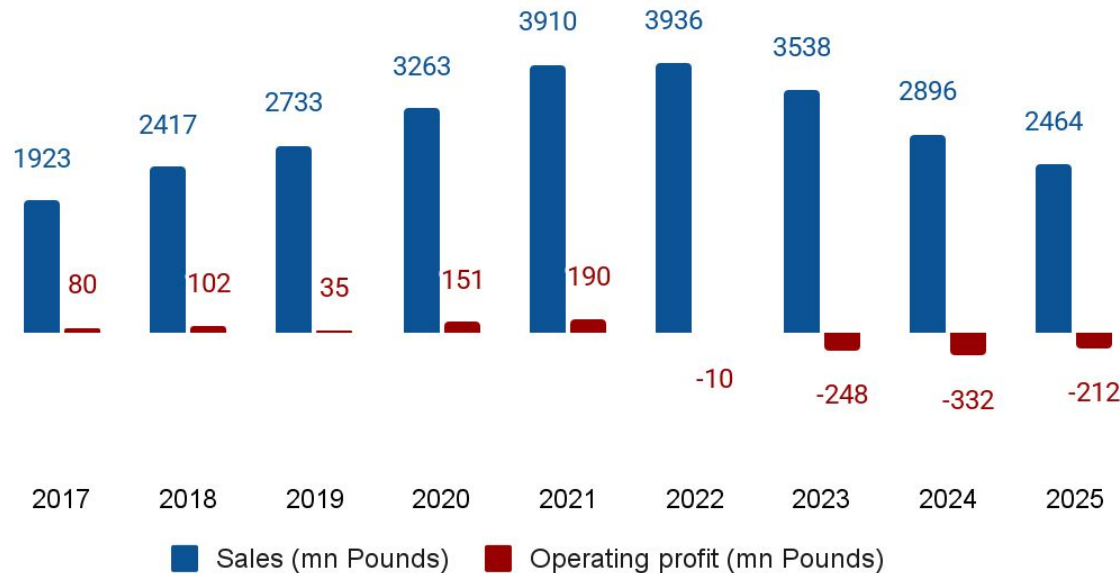
Asos sells in UK (50% of GMV), EU (34% of GMV) and rest of Europe and even in US

It sells own brands as well as third party brands like Adidas, New Balance, Mango and more. Its own brands contribute to about 40% of its GMV

1. The Platform does not stand out vs. alternatives

Asos is losing relevance and does not 'stand out' against growing competition

Asos saw a pandemic bump but has stumbled into huge losses and sales decline since then



The company did face issues post-pandemic when it was stuck with a huge volume of inventory. **But the bigger issue is that it does not 'stand out' today.**

ASOS describes itself as a “truly global retailer for fashion-loving twenty somethings”.

But it **does not stand out** for that customer-segment against the likes of Shein (price and trendiness), Zara (trendiness) and even from second-hand clothing platforms like Vinted (price)

2. Many Customers do not think the problem is very important

Example: Hellofresh, meal kit delivery leader down 90% from pandemic peak



Hellofresh is a 'meal kit' delivery platform in Europe and US

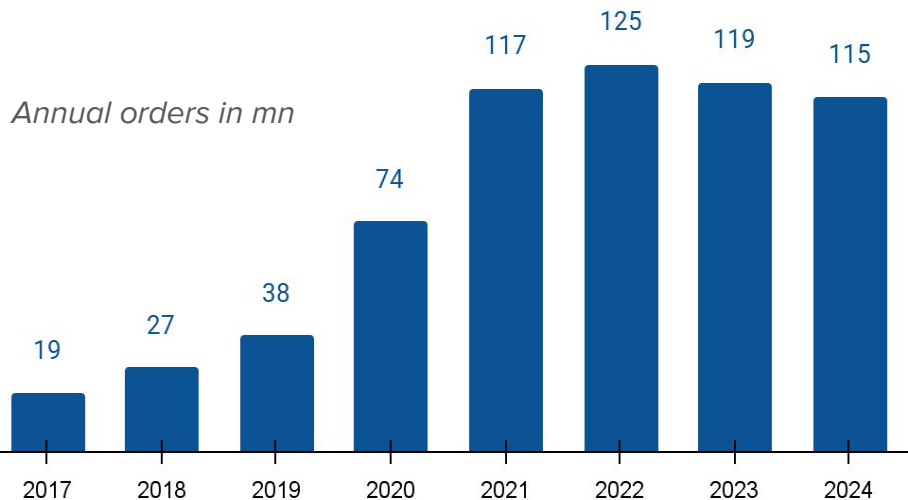
Customers order 'meal kits' online and Hellofresh delivers correctly apportioned ingredients with recipe instructions that customers then use to cook at home. Meal prep usually takes 30 minutes

Hellofresh is the market leader... but... the problem is many customers don't see this as an important problem to solve and hence category itself is in steep decline

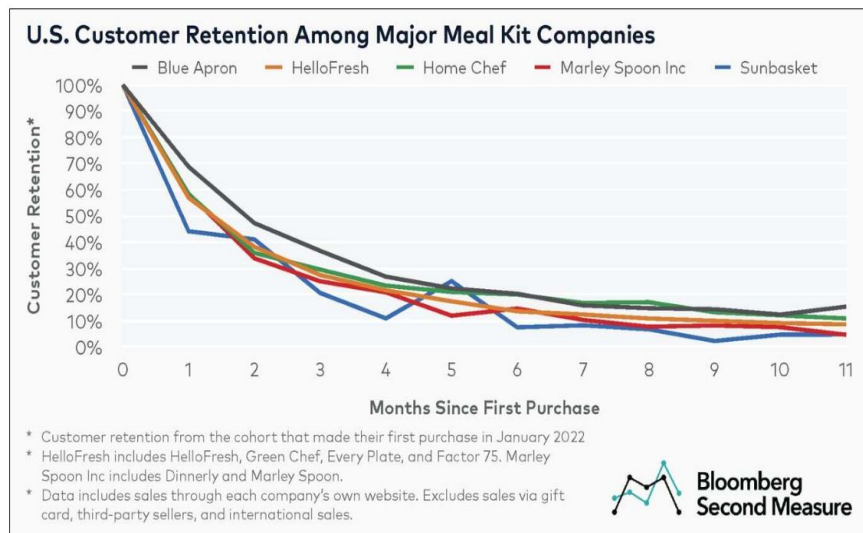
2. Many Customers do not think the problem is very important

Hellofresh has very poor retention among customers

Hellofresh saw good jump in orders during pandemic...



... but the retention rates in Meal Kits are abysmal.
Most customers don't come back

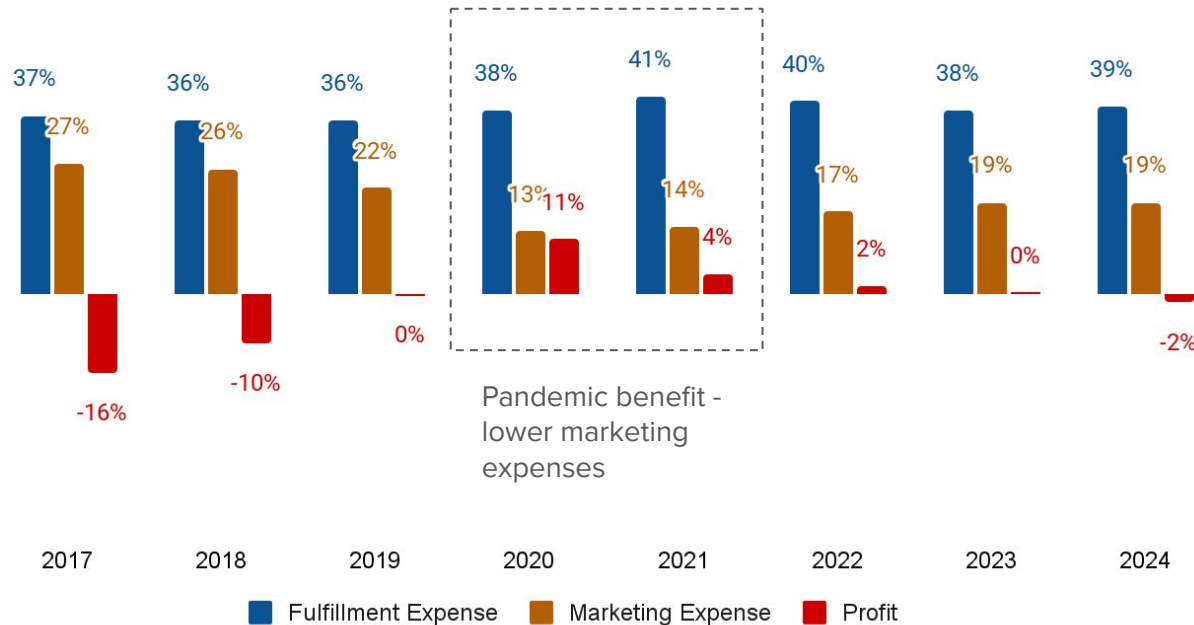


What Hellofresh claims to solve: “We make it super simple to prepare home cooked meals that bring out our inner creator and bring us together with loved ones” is not an important problem is the simple explanation for poor retention

2. Many Customers do not think the problem is very important

... most customers of Hellofresh order once for discount and not order again

Key expenses and profit as % of Revenue for Hellofresh



Since many customers don't think the problem is important, they order once for the 'first order discount' and do not show up again

This results in perennially high marketing expenses and continual discounts

Why customers don't think problem is important:

They can easily get healthy food from select restaurants online or buy groceries and cook home

The value addition of meal kits beyond being a novelty is not good enough

2. Many Customers do not think the problem is very important

Example: Cameo, marketplace for fans to connect with celebs is struggling



Cameo is a platform for 'celebrity shout-outs'. Fans can request celebrities to make a shareable video for their fans as a gift. Fans type the script to the celebs.

Celebs set their prices per video.

The platform reportedly did \$100mn in transactions in 2020 and raised at \$1bn valuation but sales has since collapsed with platform in serious financial distress

The novelty faded away as fast as it came and customers did not see 'celebrity shout-outs' as an important problem to solve or an important gift to give

3. The Solution stands out but appeals to only limited set of customers

Example: Priceline the dot-com era darling lost 99% of value in the crash

priceline.com
flights | hotels | rental cars | vacation packages | cruises

Round-Trip flight from **Seattle, WA** to **Las Vegas, NV**
Sat Feb 21, 2015 – Mon Feb 23, 2015 for 1 Adult

Name Your Own Price® in 3 Easy Steps

Step 1 ▶ Choose Your Departure and Arrival Airports
for 1 Adult from Sat Feb 21, 2015 – Mon Feb 23, 2015

Departure Airports: ☐ Seattle-Tacoma Intl Airport (SEA) Seattle, WA
☐ Boeing Field / King County Intl Airport (BFI) Seattle, WA
☐ Kenmore Air Harbor Seaplane Base (Lake Union) (LKE) Seattle, WA

Arrival Airports: ☐ McCarran Intl Airport (LAS) Las Vegas, NV
☐ North Las Vegas Airport (VGT) Las Vegas, NV

Step 2 ▶ Name Your Own Price® and Save Up To 40%
Total charges, including taxes and fees, are displayed on the following page.

Name Your Own Price® Per round-trip ticket \$.00 **BEST PRICE GUARANTEED**

Step 3 ▶ Enter Your Passenger and Ticket Information
Your trip will start between 6am and 10pm on your travel dates. Although we always look for non-stop flights first, Priceline flights may make up to one connection each way. Your exact flights and times will be shown to you once your purchase is complete. We will issue convenient electronic tickets.

RECENT WINNING BIDS®
Seattle to Las Vegas

\$291/rt
\$436
see all bids

When you Name Your Own Price® for Seattle to Las Vegas*

✓ Your average connection time is **67 Minutes**

Nonstop 71%
1 Stop 29%

✓ You'll fly between 6am - 10pm

Typical departure times for this route:

6am - 10am	10am - 6pm	6pm - 10pm
63%	32%	5%

Typical return times for this route:

6am - 10am	10am - 6pm	6pm - 10pm
53%	21%	26%

✓ Some of Priceline's partner airlines*

Priceline was founded during the dot-com bubble and was worth more than \$20bn before the bubble crashed

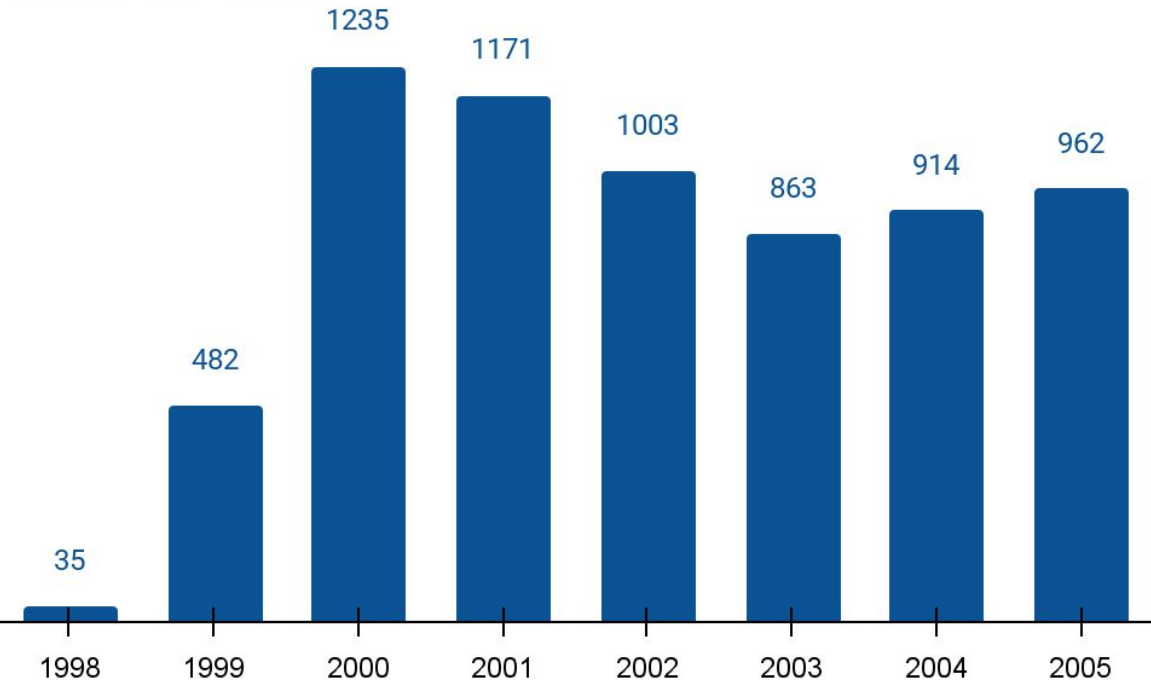
It had a unique 'name your own price' model where customers entered their own price but cannot choose the airline (it was mainly for flights)

Unsold inventory of airlines was matched with the discounted prices in the backend

3. The Solution stands out but appeals to only limited set of customers

Priceline grew very fast and then stalled as it struggled to attract more mainstream customers

Priceline Annual Sales (\$mn)



Priceline even tried to enter segments like even Grocery and Home loans with the same model

The platform grew rapidly before it stalled after the dotcom crash and after the 9/11 attacks and went into decline

The business model was a novelty but appealed only to the 'very flexible traveller'

Priceline Discovers That Choice Really Does Matter to Consumers

*By Adam L. FreemanDow Jones Newswires
April 21, 2004 12:01 am ET*

3. The Solution stands out but appeals to only limited set of customers

Priceline saw the writing on the wall and pivoted to hotels and eventually acquired Booking.com of Europe, one of the greatest e-commerce acquisitions of all time!

Priceline survived by ditching its original model and pivoted to selling hotels

Bloomberg Report: A Humbler, Happier Priceline (2003)

Boyd (the CEO) engineered the comeback by scrubbing much of what made Priceline a boomtime phenom, **moving away from low-margin plane tickets in favor of selling hotel rooms.** With vacancies near 40%, hoteliers are cutting Priceline good deals. In the second quarter, Priceline sold 446,000 air tickets, off 52% from a year earlier, but hotel sales rose 38%, to 1.5 million room nights. **"We've changed the mix of our business," Boyd says.**

Boyd also dumped nontravel businesses, including the auto-sales effort and long-distance phone unit... Priceline now breaks even on annual sales of \$800 million, down from \$1 billion.

Priceline eventually changed its name to Booking in 2018 as it contributed to 80% of revenues!

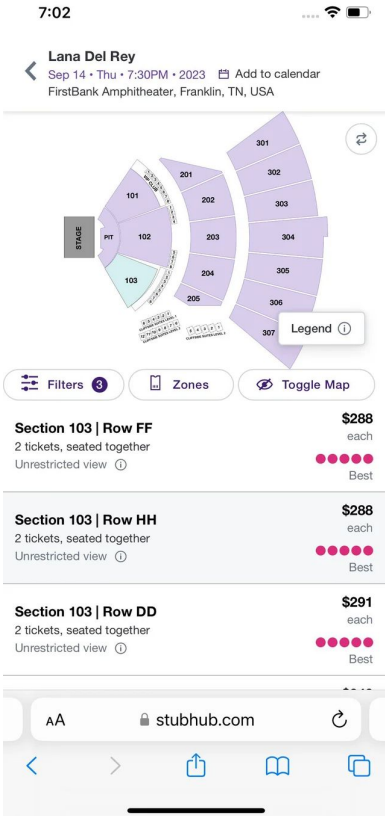
Bloomberg Report: How Priceline became No.1 (2010)

Boyd started in Europe, where spur-of-the-moment discount travel was more culturally entrenched. The CEO moved quickly to exploit two trends: Europeans were booking travel online less often than Americans, leaving a bigger opportunity for growth as they migrated to the Internet... In every [European] market there's a large number of independent hotels that benefit from the kind of online distribution we can offer... "That fragmentation is what makes Europe so great for us."

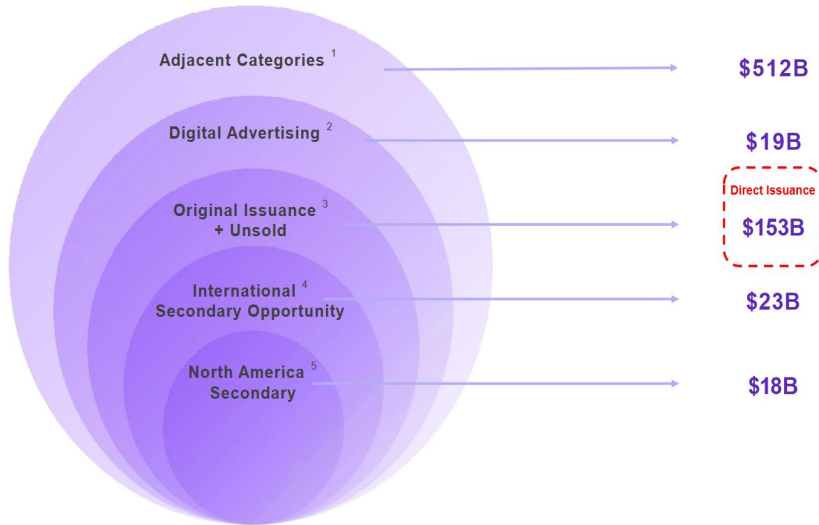
... A year later, he paid \$133 million for Netherlands-based Bookings, now Booking.com. Two years after that, Europe went from a negligible portion of Priceline's revenue to generating more than half of the company's bookings.

3. The Solution stands out but appeals to only limited set of customers

Example: StubHub, 'secondary ticketing' pioneer ponders next steps for growth



StubHub plays in the secondary ticketing market with 50% market share but it soon will have to figure out other areas for growth



StubHub is the marketplace for 'reselling' tickets bought earlier

It enables fans keen to buy tickets that were sold out. It allows sellers to sell tickets at a higher 'market clearing' price

StubHub pays a share to rights holders like artists and teams

It has a 50% market share in this 'secondary market' with 9bn\$+ GMV but it is a smaller market.

It is now keen to explore bigger markets like primary sales but success is a question mark

4. Poor Customer Experience turns off most customers from coming back

Example: Rent the Runway, pioneer in renting designer clothing promised 'significant value' to customers for \$100 per month subscription. But...

The gift that keeps on giving

Unlock a closet with 750+ brands, thousands of styles, and zero commitment.

Limited Closet Access

Choose from a limited collection of subscription styles with individual retail values up to \$350.

5 items per month

\$99/mo for 1st month

\$109/mo regular price

- ✓ 5 items at a time
- ✓ 1 shipment/month

Join Now

Full Closet Access

Choose from our entire collection of subscription designer styles with individual retail values up to \$3000.

5 items per month

\$103/mo for 1st month

\$129/mo regular price

- ✓ 5 items at a time
- ✓ 1 shipment/month

Join Now

Most Loved

10 items per month

\$114/mo for 1st month

\$164/mo regular price

- ✓ 5 items at a time
- ✓ 2 shipments/month

Join Now

Rent the Runway offers monthly subscription to customers on expensive designer clothing

Customers can choose online and get 5 to 10 items a month and return them and get a new shipment

The platform promises 'significant value' to customers for renting its clothes rather than just buying

Sounds good on paper. But what happens in reality?

4. Poor Customer Experience turns off most customers from coming back

...but Rent the Runway customers/subscribers often see gaps in the selection or the availability of inventory

 **astoria47** • 1y ago

I was finding renting from them more expensive than owning from consignment stores. Also, the **clothes weren't anything I was excited to wear.** I'd rather shop and own for a better value.

 **Far_Apple40** • 3mo ago

I'm really considering **cancelling my membership due to the inventory issues.** I have nearly 100 items saved to my favorites list, and every time I place my next order, it's just the 10 same items that are available over and over. Sometimes I get lucky and grab a new arrival before they're all taken, but I've had older items I've been wanting to rent for 8+ months now that are just never available.

 **IntrinsicM** • 1y ago

It's an amazing concept, but the execution has gotten really poor.

I was spending entirely **too much time just trying to find 5 pieces** that were seasonally appropriated and okayish, very few items I was excited about ever showed as available.

 26 Reply Award Share ...

 **Holiday-Lychee2256** • 1y ago

Same. Joined when they first started and absolutely loved it. Was loyal when they struggled with shipping etc. I just got to a point where **they never had the things I wanted to order in stock so I'd** end up ordering things I didn't really want...and it just felt like a waste. I decided to cancel and just start shopping the real real and threadup.

 **Express_Airport131** • 1y ago

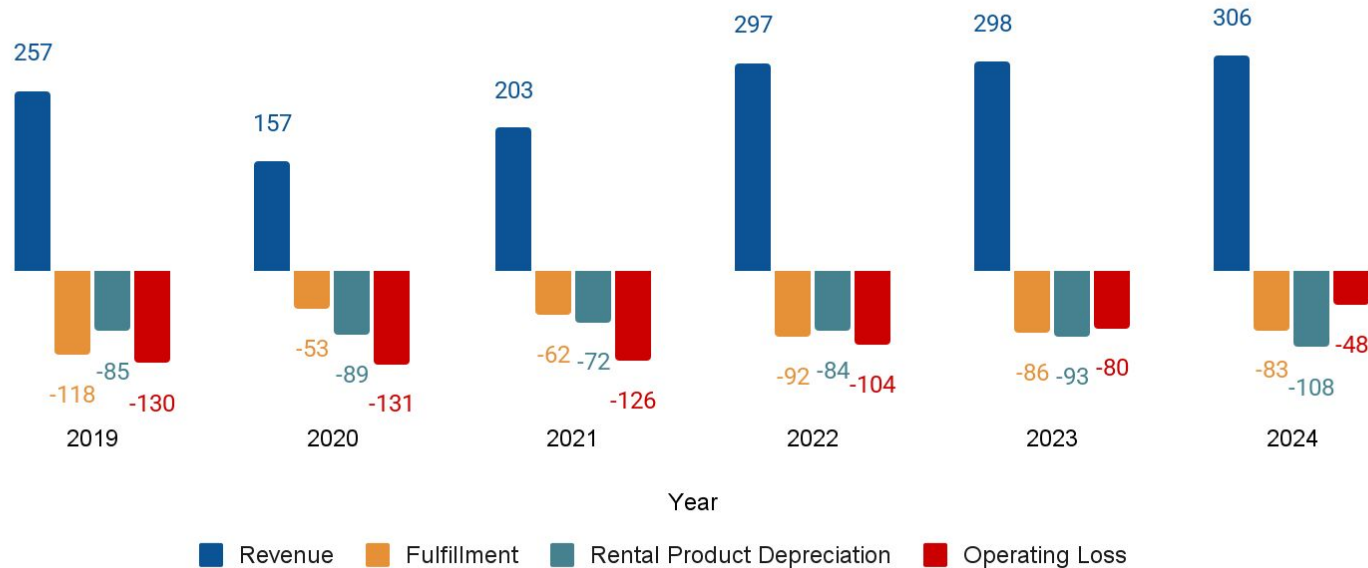
I'm only on my 4th month, but it's interesting to see your post bc I've been feeling **unimpressed w the inventory.** I use it for work/everyday clothing and last week it was hard to find five items I wanted to try.

Was part of RTR during the golden, unlimited age pre-covid. Just got a month free from them. I am not exaggerating when I say **I cannot for the life of me find 5 things to fill the order** Everything is ugly or weird. What the hell is leadership doing over there..

4. Poor Customer Experience turns off most customers from coming back

Rent the Runway operating model has inherent high cost structure that makes it difficult to turn a profit and to invest in business

Rent the Runway financials and key expenses in \$mn. Note that Fulfillment is close to 30% of revenue and Rental product Depreciation is 35% of revenue. These are very high numbers



Clothing Depreciation cost is very high and means company has to keep getting new inventory

Fulfillment costs are high likely because of return logistics

The company for years has only had around 125,000 subscribers

5. The customer was not 'reached' effectively

Example: Warby Parker, the D2C e-commerce pioneer (eyewear) selling affordable prescription glasses saw a limit to its growth until it opened offline stores

Distribution and Marketing Approach - Reaching Customers effectively through the right venues with the right message is key to drive growth. Generally, there is very low innovation by businesses here (lot more can be done)

From Warby Parker Annual Report

“We often ask consumers familiar with the Warby Parker brand why they haven’t shopped with us before, and three of the most common answers are:

- 1) there isn’t a store nearby,
- 2) they don’t have an updated prescription, and
- 3) they want to use their insurance benefits”

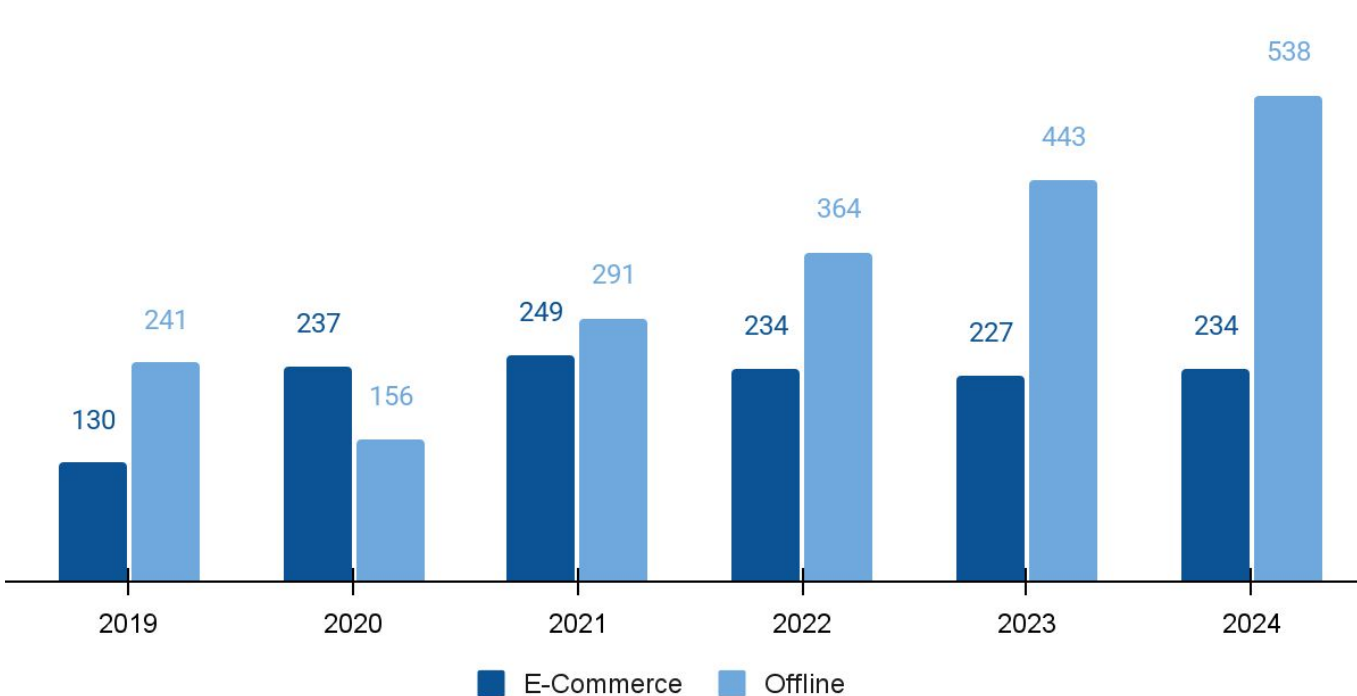
Today 70% of Warby Parker sales comes from its offline stores



5. The customer was not 'reached' effectively

Most of the growth in last few years for Warby Parker has come from offline stores

Warby Parker sales by channel (\$mn)



Warby Parker stores have excellent economics with the average store that is open for more than 12 months grossing \$2mn in annual sales

It has a store-level EBITDA margin of about 35%

It has now struck a deal with retail giant Target for shop-in-shop stores that can drive expansion

6. The Solution may not be sustainable

Example: Blockbuster took on Netflix aggressively (DVD era) but it was not sustainable

2004 is when Blockbuster woke up to threat of Netflix and aggressively started expanding online



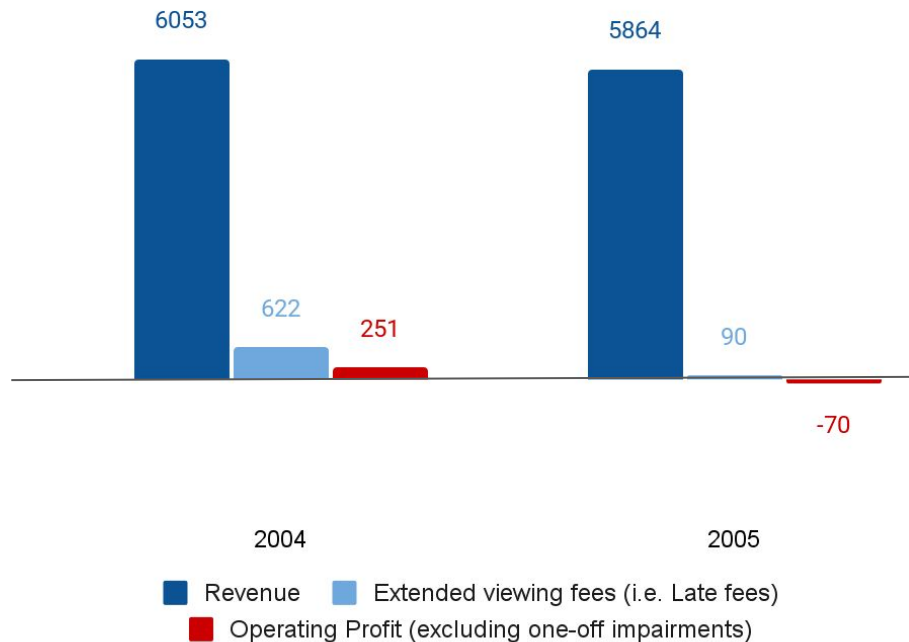
But Netflix had a superior proposition of No Late Fees which customers hated about Blockbuster

A screenshot of the Netflix website homepage. The top navigation bar is red with the Netflix logo and links for "Welcome", "How It Works", "Browse Selection", "Sign Up Now", "Buy / Redeem Gift", and "Member Sign In". The main banner features a couple sitting on a couch, smiling, with a bowl of popcorn and a glass of wine in front of them. The text on the banner reads: "NETFLIX is the best way to rent movies. Rent all the DVDs you want for \$21.99 a month — NO LATE FEES!". A yellow box highlights the "NO LATE FEES!" text. Below the banner, there is a "Sign Up Now!" button and a list of benefits: "No Late Fees - Ever!", "Over 25,000 Titles - Classics to New Releases.", "Free Shipping Both Ways In 1-3 days.", "No Driving. No Lines. No Hassles.", "Always have up to 3 DVDs at home.", and "No Commitments. Cancel Anytime." At the bottom, there is a footer with the same navigation links as the top bar and a "Have a special offer? Enter Code:" field with a "Redeem" button.

6. The Solution may not be sustainable

Blockbuster eliminated late fees to counter Netflix but it was not sustainable

In \$mn. Late fees was the main profit driver for Blockbuster and was pure profit



In 2005, Blockbuster eliminated late fees from most of its locations. Store profitability immediately suffered

On top of this, the new online offering was expensive to operate and there was no cash cow from stores to subsidize this online expansion

In contrast, Netflix made a profit in 2005 for the third consecutive year and was financially sustainable

6. The Solution may not be sustainable

Example: Wish.com once turned Amazon offer of \$10bn but has now lost 99% of its value



\$5 \$60

1000+ bought this



\$8 \$99

1000+ bought this



\$4 \$25

1000+ bought this



\$2 \$12

5000+ bought this



\$3 \$10

10000+ bought this



\$2 \$10

20000+ bought this



\$7 \$199

1000+ bought this



\$8 \$84

5000+ bought this



Wish.com was a platform that (it was like Temu before Temu) sold ultra-low priced goods online with late delivery

It connected chinese sellers with US and European consumers with an engaging mobile-first approach

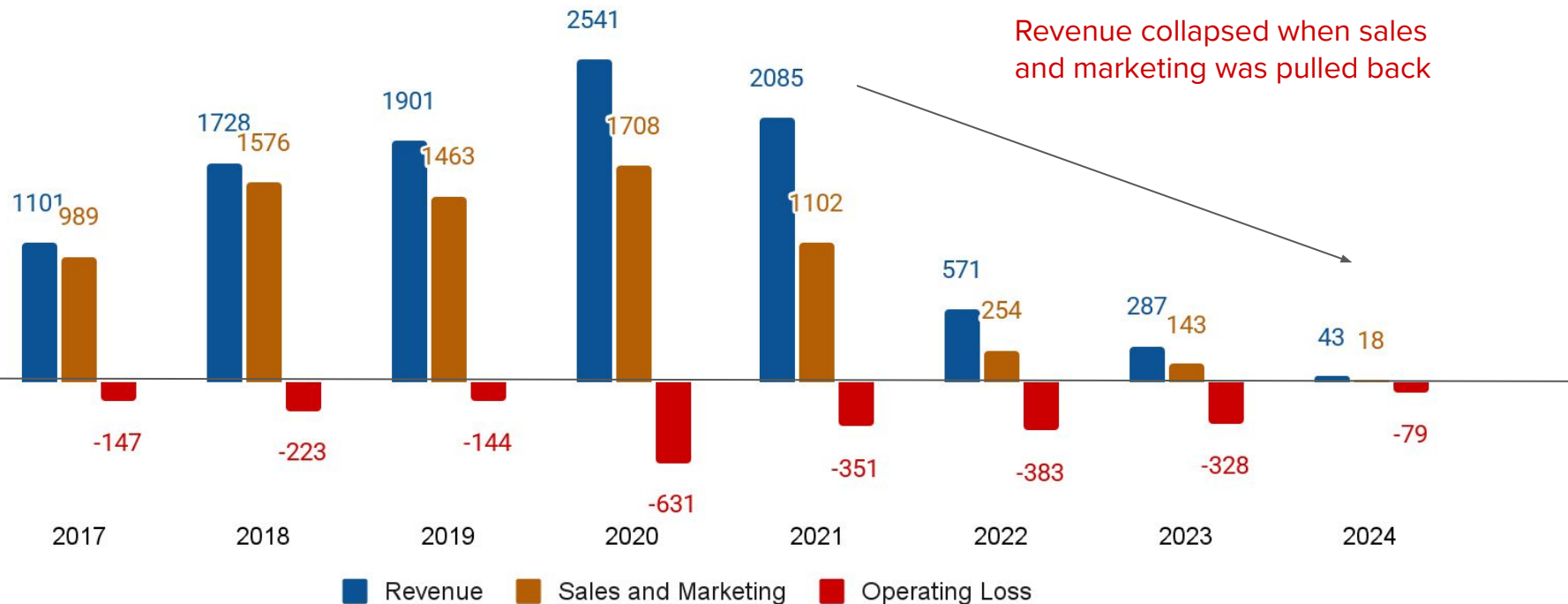
It once turned down Amazon's offer of \$10bn and went public in late 2020 with a peak valuation of \$14bn

It has since lost 99% of its value and is trading for about \$200mn

6. The Solution may not be sustainable

Wish.com could never let go of its heavy marketing spend in pursuit of growth and this doomed the company

Wish.com financials in \$mn



7. The platform appeals to customers but it is difficult to monetize

Example: Tripadvisor has monster audience size but is unable to monetize effectively

Brand Tripadvisor

Overview

Trusted source for end-to-end travel guidance

Travelers:

- Community-driven insight and engagement through reviews and forums
- Bookings for hotels, experiences, restaurants, and other categories

Partners:

- Global hotel meta platform
- Key advertising platform for travel brands and beyond

Durable asset that is difficult to replicate

- ✓ Trusted brand
- ✓ Authentic UGC
- ✓ Large community of contributors
- ✓ Large global audience

Tripadvisor has more than 300 million monthly unique visitors

It has 1bn+ reviews and the largest user-generated-content in the Travel space and very high trust

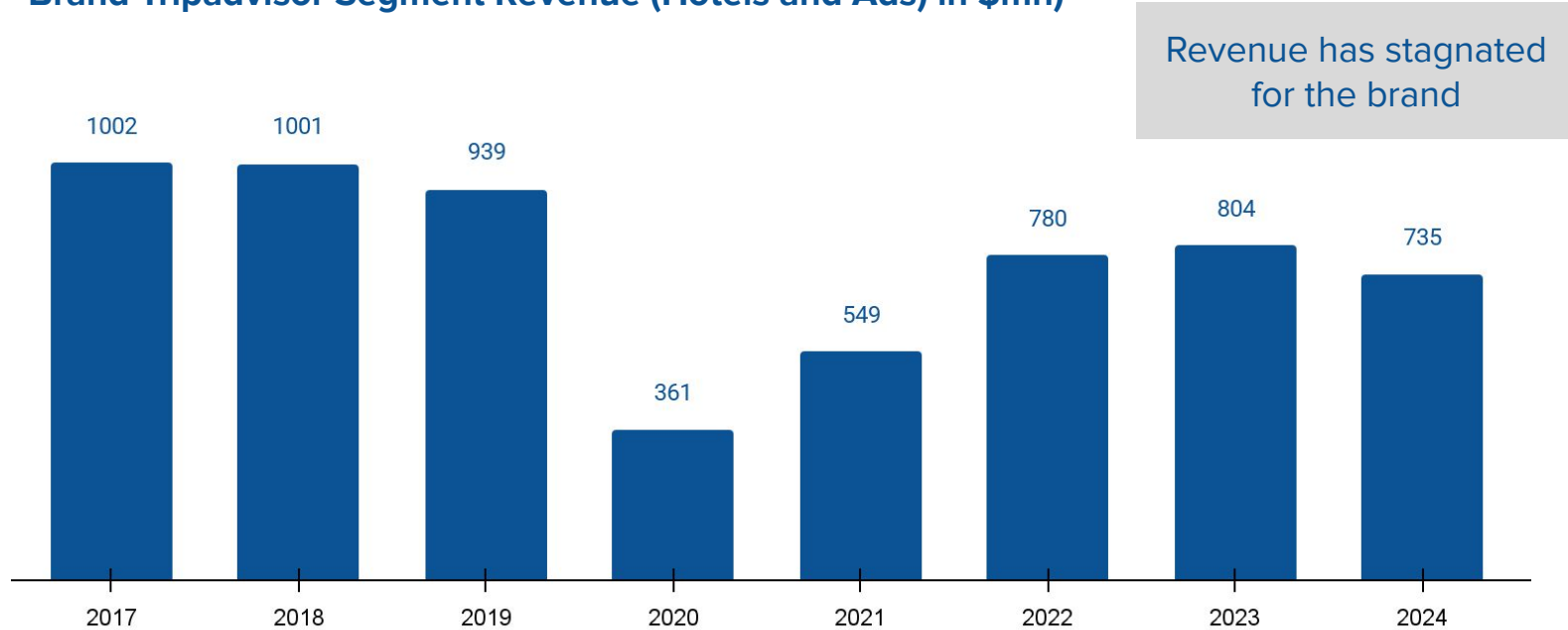
It tries to monetize this audience via hotel bookings and via advertising

But it has not been very successful in doing that

7. The platform appeals to customers but it is difficult to monetize

Tripadvisor has monster audience size but is unable to monetize effectively

Brand Tripadvisor Segment Revenue (Hotels and Ads) in \$mn



8. Macro challenges dent growth

Even the best platforms go through growth problems due to macro challenges



Post-covid slump in growth



Shopee



airbnb

Decline during pandemic



Decline during pandemic

priceline®

Dot-com burst, 9/11 attacks

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Leadership Behaviors in a Crisis - The Good and The Bad **90**

Depending on the context and challenges, here are a few efforts that can help

1

Stand out on at least one important dimension

3

Pivot your value proposition if needed

5

Refocus and sharpen your battleground

7

Have a differentiated game-changing loyalty program

9

Pause and Fix your Unit Economics

2

Fix your barrier dimension

4

Make hard strategic trade-offs and choices where needed

6

Fix your Distribution and Customer Approach

8

See the writing on the wall and change your business model or source of growth

10

Figure out your Cash Cow cushion

1. Stand out on at least one important dimension

There may be a few 'dimensions' that are very important to customers

Price

Selection

Speed

Reliability

'Trust'

Quality

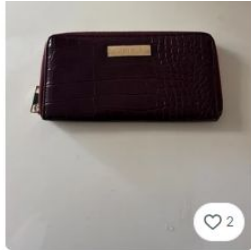
Availability

Customization

The platform must win on at least one or two very important dimensions

1a. Stand out on at least one important dimension for customer

Vinted stands out in resale fashion market in Europe with a very wide selection



Carvela
Very good

£5.00
£5.95 incl. 🇬🇧



Vintage PU Leather Boston Women ...
New with tags

£7.99
£9.09 incl. 🇬🇧



Valentino
Very good

£45.00
£47.95 incl. 🇬🇧



Osprey London
New with tags

£16.50
£18.03 incl. 🇬🇧



Michael Kors
Very good

£20.00
£21.70 incl. 🇬🇧



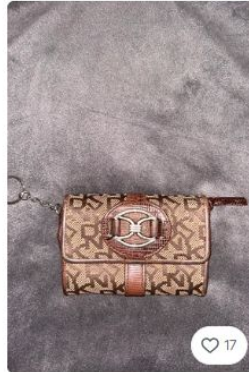
River Island
Good

£3.00
£3.85 incl. 🇬🇧



mk grey purse
New with tags

£20.00
£21.70 incl. 🇬🇧



DKNY
Very good

£7.00
£8.05 incl. 🇬🇧

Vinted is the market leader in online resale fashion in Europe

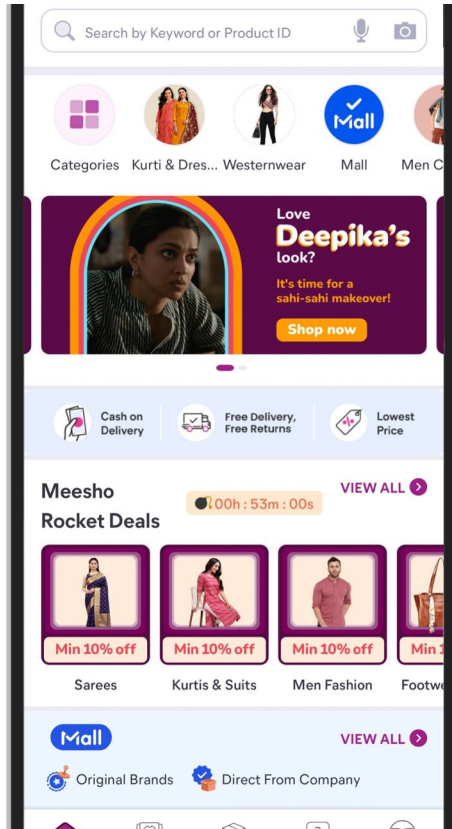
It has become the leader by standing out on a wide variety of selection and sellers

It has a lot of selection for multiple sub-categories. This attracts a lot of customers looking for cheap resale items

In Vinted's case, lots of sellers on the platform also helps in reducing prices due to seller competition. This further attracts customers

1a. Stand out on at least one important dimension for customer

Meesho in India stands out for very large variety of low price-point unbranded fashion



Meesho is a hyper-value e-commerce company (like Temu and PDD) in India

Meesho experimented with various wholesale and reseller models but shifted to B2C e-commerce in 2021 with a **zero-commission model focused on unbranded products**

It was able to attract lots of sellers and **direct manufacturers from clothing hubs due to this model**

Its main **customer base is Tier 3 customers especially women**

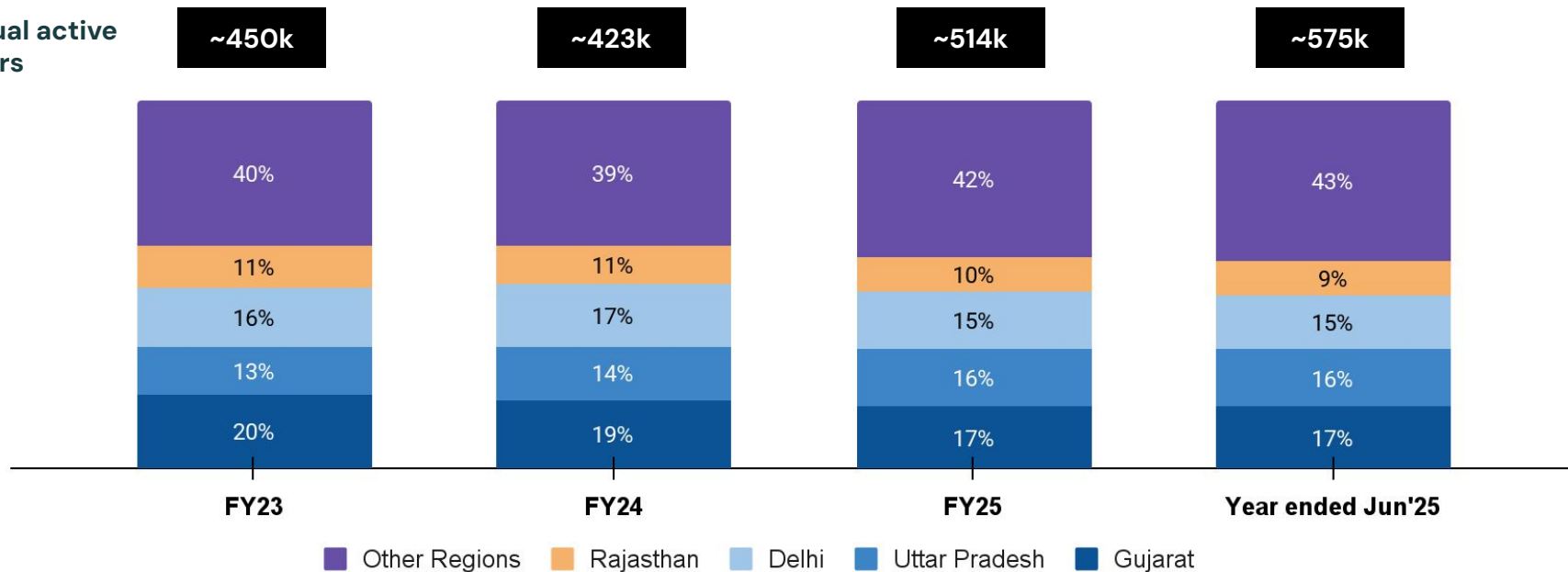
It has grown very fast in the last four years and recently went public with a market cap of **\$8bn**

1a. Stand out on at least one important dimension for customer

Meesho in India stands out for very large variety of low price-point unbranded fashion

Meesho unlocks product supply from fashion clusters and keeps increasing seller density on the platform

Annual active sellers



1a. Stand out on at least one important dimension for customer

Amazon in US stands out on Fast and Reliable Shipping

Jeff Bezos announcing Prime in 2005

amazon.com.


Dear Customers,

I am very excited to announce [Amazon Prime](#), our first ever membership program, which provides "all-you-can-eat" express shipping. It's simple: for a flat annual membership fee, you get unlimited two-day shipping for free on over a million in-stock items. Members also get overnight shipping for only \$3.99 per item—order as late as 6:30PM ET.

Amazon Prime takes the effort out of ordering: no minimum purchase and no consolidating orders. Two-day shipping becomes an every day experience rather than an occasional indulgence.

We are offering Amazon Prime membership at the introductory price of \$79 per year, which includes sharing the benefits with up to four family members in your household.

Considering that we normally charge \$9.48 for two-day shipping on a single book and \$16.48 for overnight, many of our customers will find the program very rewarding. It works across books, DVDs, music, electronics, kitchen, tools, health, personal care, etc, etc.

We expect Amazon Prime to be expensive for Amazon.com in the short term. In the long term, we hope to earn even more of your business, which will make it good for us too. We hope you enjoy our latest innovation.

You can [sign up for membership](#) with 1-Click.

Sincerely,



Jeff Bezos
Founder & CEO

Amazon stands out in the US on Fast and Reliable shipping on tens of millions of items with unbeatable scale and investments

The company said on Monday that nearly 60% of orders placed through Prime in the top 60 U.S. metro areas in the first quarter arrived the same or next day. That is up from roughly 50% in the second quarter of 2023.

Amazon Doubling Same-Day Delivery Facilities in Push for Speed

1b. Standing out for the seller can also drive platform Success

Vinted unlocked huge resale supply by making selling 'free' for sellers



[Home](#) / [Men](#) / [Clothing](#) / [Jeans](#) / [Straight fit jeans](#) / [Levi's Straight fit jeans](#)



Levi's jeans

W34 · Very good · [Levi's](#)

£8.00

£9.10

Includes Buyer Protection

Brand	Levi's	:
Size	W34	⊙
Condition	Very good	⊙
Colour	Blue, Navy	
Uploaded	4 hours ago	

Good condition, size 34x32

Postage from £2.45

Buy now

Make an offer

Ask seller



Buyer Protection fee

Our [Buyer Protection](#) is added for a fee to every purchase made with the "Buy now" button. Buyer Protection includes our [Refund Policy](#).

Vinted which was struggling till 2016 turned around its growth by having no charges for sellers.

It charges fees from buyers

This unlocked a lot of supply on the platform (next slide)

1b. Standing out for the seller can also drive platform Success

Vinted unlocked huge resale supply by making selling 'free' for sellers



Thomas Plantenga joined first as a consultant and then quickly took over as CEO in 2016 has turnaround with no seller fees and with relentless execution

How no seller fees accelerates the selection flywheel for Vinted



1b. Standing out for the seller can also drive platform Success

Rapido, the soon-to-be mobility leader in India has attracted discontented drivers in India through a fixed subscription model

Rapido is likely to soon be the mobility (ride-hailing) market leader in India breaking the Uber-Ola Duopoly

*"Ola used to be our main competition. Now, the tougher competition in India is Rapido,"
– Uber CEO in WTF Podcast*

The ride hailing scene in 2018

With **10K daily rides** and Rs 1.5 Cr monthly revenue, Rapido completes 5 Mn rides in 28 months

With **1.5 Mn rides a day**, Ola advances towards profitability

In 2024-2025

Rapido claimed 2.5 mn daily rides in late 2024 and in mid-2025 about 4.3 mn daily rides

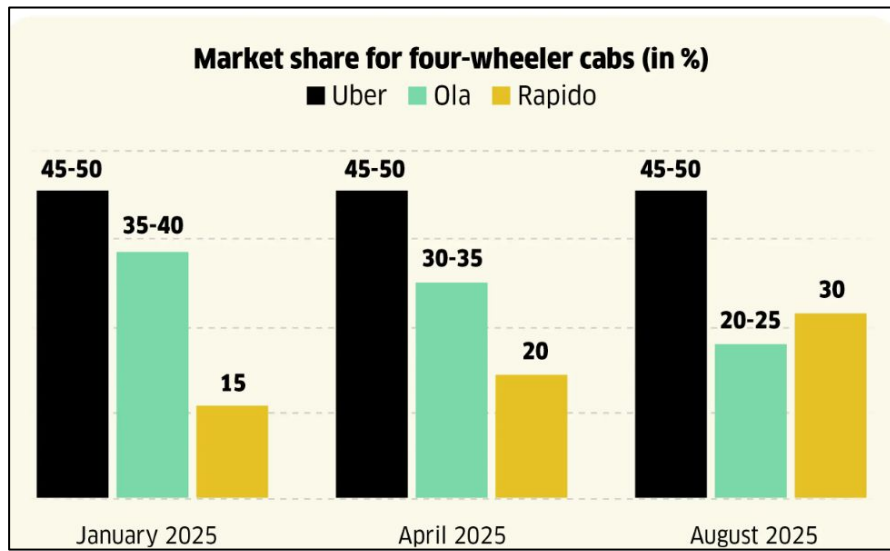
Uber, Ola did 2.5mn daily rides and 1.3mn daily rides respectively (Source: The Arc Web) in 2024

1b. Standing out for the seller can also drive platform Success

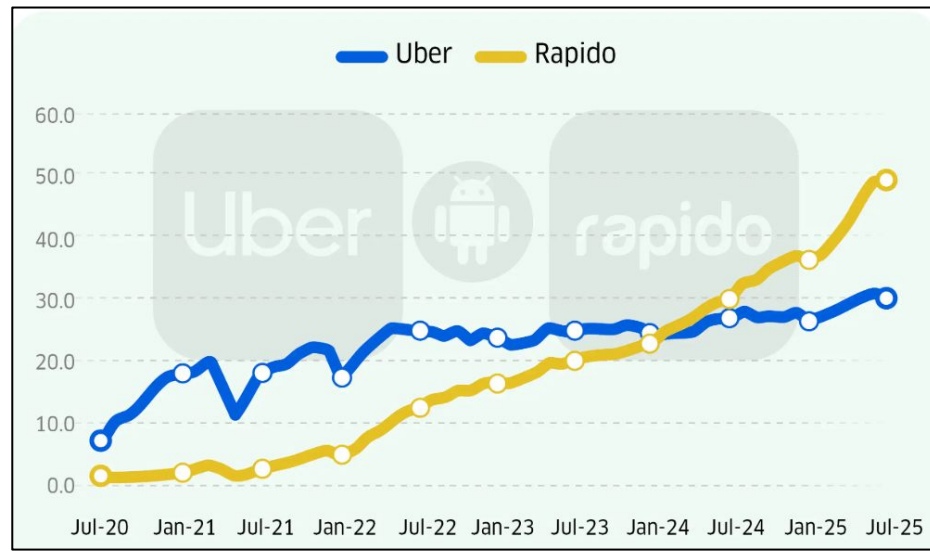
Rapido, the soon-to-be mobility leader in India has attracted discontented drivers in India through a fixed subscription model

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Three-party market share in Four-wheeler ride hailing



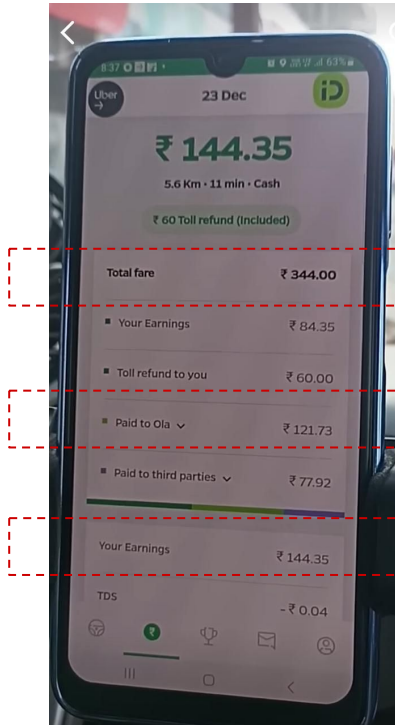
App MAUs (Monthly Active Users) comparison



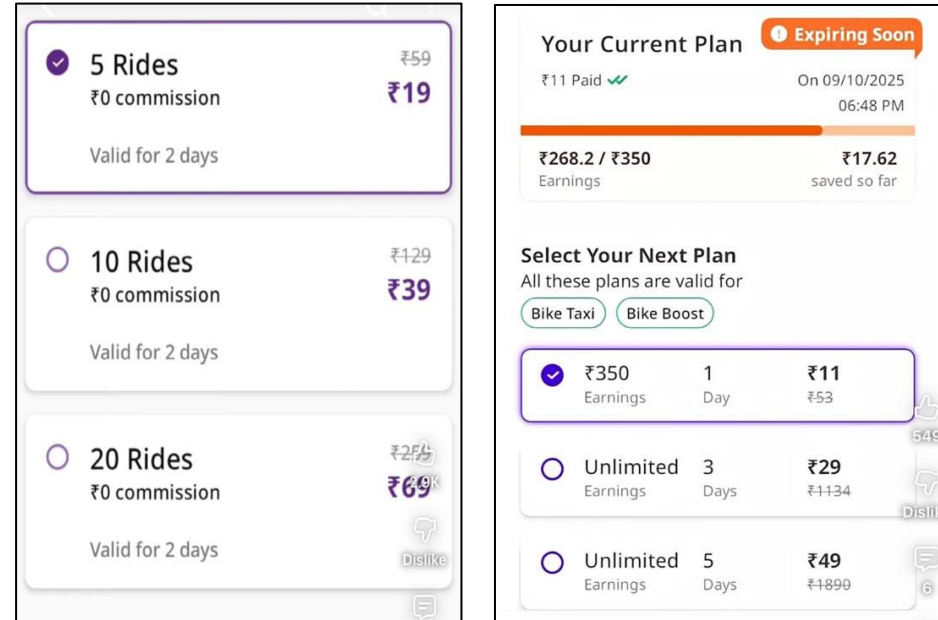
1b. Standing out for the seller can also drive platform Success

Rapido, the soon-to-be mobility leader in India has attracted discontented drivers in India through a fixed subscription model

Drivers were very unhappy with the high commissions per trip charged by incumbents like Ola



Predefined Fixed Subscription of Rapido lowered costs while bringing certainty



Note: Subscription plans vary based on mode and location

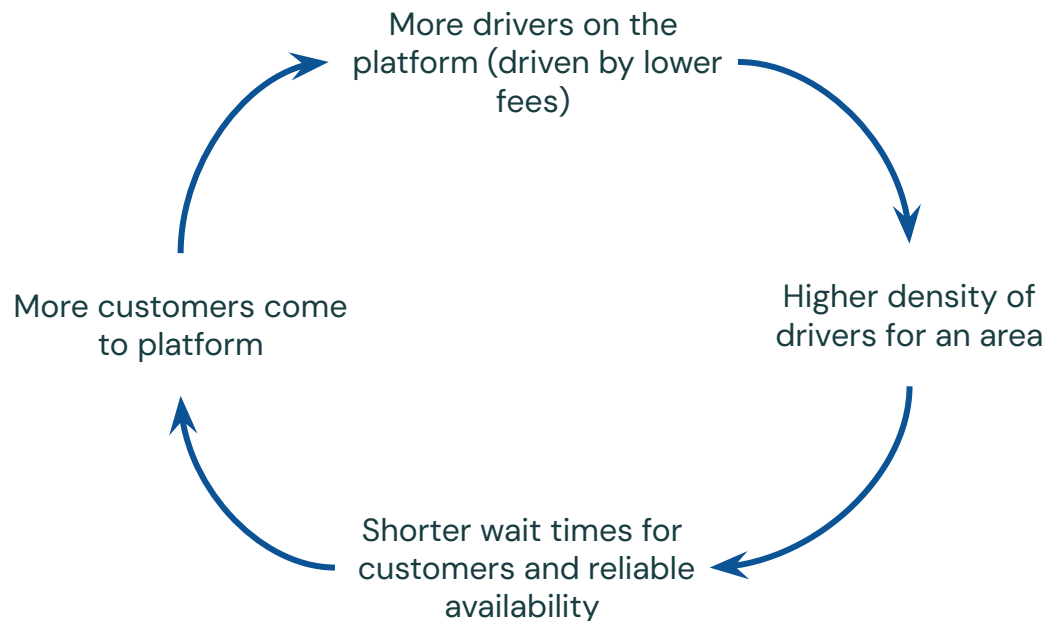
1b. Standing out for the seller can also drive platform Success

Rapido, the soon-to-be mobility leader in India has attracted discontented drivers in India through a fixed subscription model

Illustrative Driver Economics for a longer distance trip (25% higher earnings per trip)

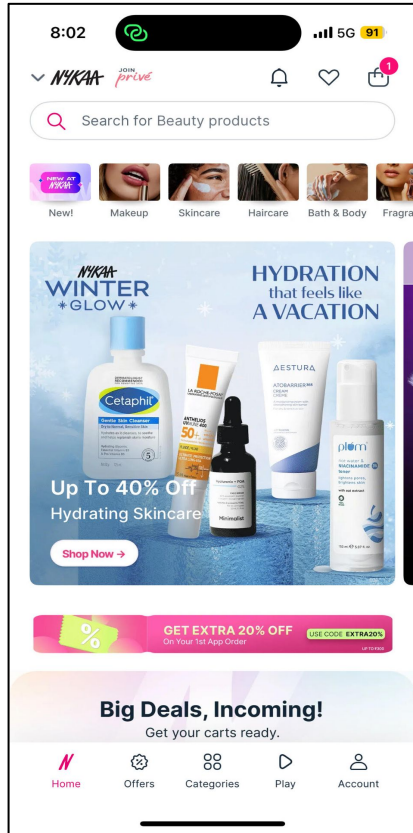
12km trip in Bangalore (Cab)	Earlier	Now
AOV	400	400
Paid to Platform	80	28
- Commission expense	80	0
- Subscription averaged per trip	0	28
Fuel expense for trip	80	80
Fuel Expense incurred till customer pickup	12	8
Total Expense	172	116
Net income per trip	228	284

Flywheel for Rapido: More Drivers means More reliability for customers

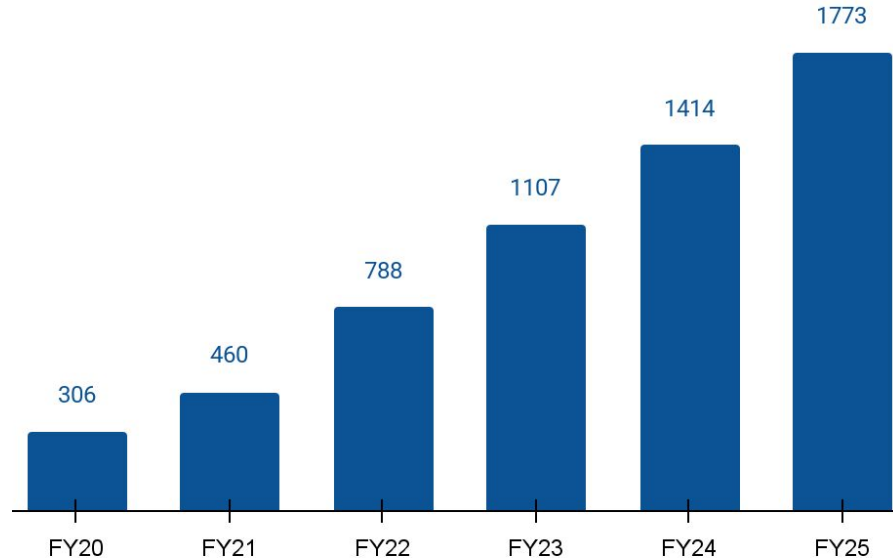


1b. Standing out for the seller can also drive platform Success

Nykaa, the Indian online beauty leader has won by driving authenticity on its platform. As a consequence, the best brands want to associate with Nykaa



Nykaa GMV in \$mn. 76% of GMV comes from Beauty and Personal Care



Nykaa is the biggest online beauty retailer and **caters to mostly urban mid-affluent and affluent** segment of customers

The market is fragmented with heavy competition from horizontal e-commerce players like Flipkart and Amazon and from offline retail

In a market rife with trust issues on authenticity and quality, Nykaa has carved out a lucrative position for itself with authenticity and being the first choice for premium brands

1b. Standing out for the seller can also drive platform Success

Nykaa, the Indian online beauty leader has won by driving authenticity on its platform. As a consequence, the best brands want to associate with Nykaa

Perception of Authenticity and Trust attracts affluent customers



Premium and Luxe Brands often prefer to partner first and only with Nykaa

 **digsonchavez** • 7mo ago

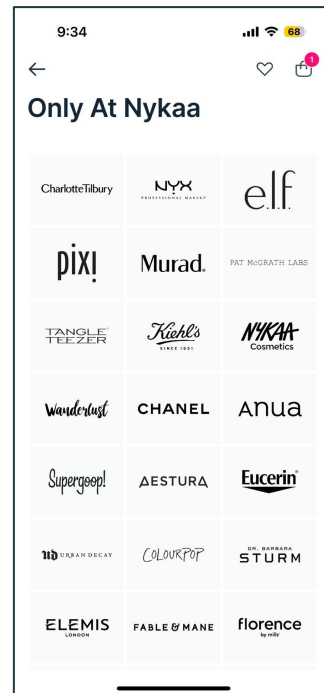
Because Nykaa is an authorised seller. Amazon pe anyone can sell anything. So many times people have complained about getting aata when ordering protein powder etc

ImTheMafia_ • 7mo ago

Possibility of getting a dupe / fake product on Amazon is high. On the other hand you may not get as much as discount like Amazon but it guarantees a genuine product delivery. When it comes to skincare and makeup specially. I finally shifted from Amazon to nykaa because of this reason only. Nykaa is not bad though you get free products on your orders I love that lol

Issval123 • 2y ago

I think their UI looks class and I like that about the site, I have used purple and isn't like that. Plus authenticity matters because I keep hearing fake product complains from Amazon. I am reducing nykaa purchase because of the fake discounts they run. But it's fun to window shop at nykaa. They have a lot of products too I think.



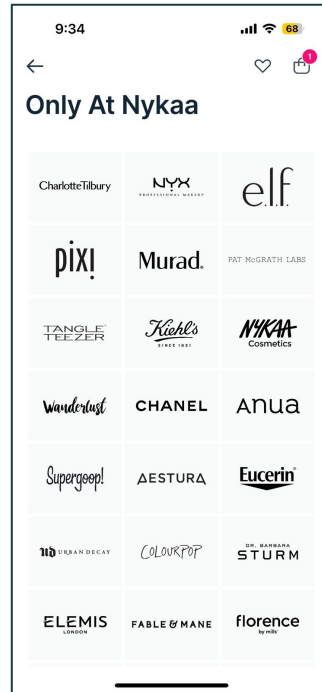
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**Nykaa, the Indian online beauty leader has won by driving authenticity on its platform.
As a consequence, the best brands want to associate with Nykaa**

Premium and Luxe Brands often prefer to partner first with Nykaa



Flywheel among the higher income customers

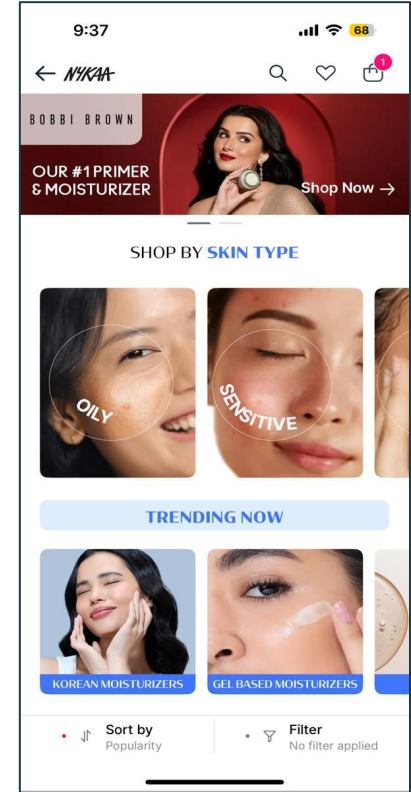
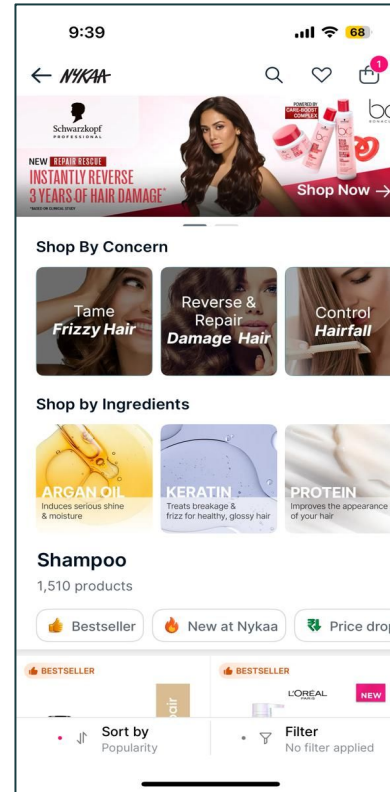
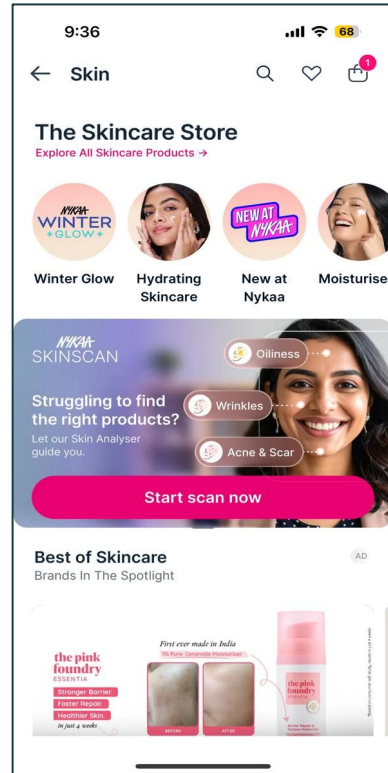
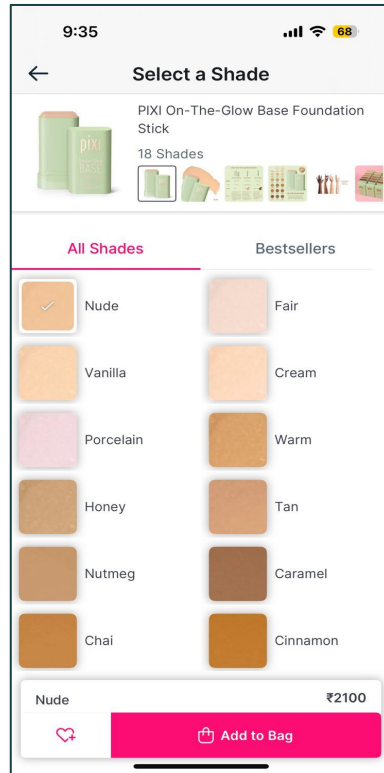


Affluence signal: 70% of Nykaa visitors browse via iOS (per annual report)

1b. Standing out for the seller can also drive platform Success

Nykaa, the Indian online beauty leader has won by driving authenticity on its platform. As a consequence, the best brands want to associate with Nykaa

Nykaa's beauty-first platform experience further enhances appeal to brands (and customers)



2. Fix your 'Barrier Dimension'

The following are examples of barrier dimensions

Trust

Quality

Price/Fees

Affordability

Skill/Knowledge

Motivation



Typically one or more barrier dimensions can prevent widespread adoption of the platform

The key to growth unlock might lie in solving this barrier dimension

We will look at a few examples...

2. Fix your 'Barrier Dimension'

Airbnb faced an existential crisis when a host's property was vandalized by guests...

Blog post in 2011 by a host named 'EJ'

They smashed a hole through a locked closet door, and found the passport, cash, credit card and grandmother's jewelry I had hidden inside. They took my camera, my iPod, an old laptop, and my external backup drive filled with photos, journals... my entire life. They found my birth certificate and social security card, which I believe they photocopied - using the printer/copier I kindly left out for my guests' use. They rifled through all my drawers, wore my shoes and clothes, and left my clothing crumpled up in a pile of wet, mildewing towels on the closet floor. They found my coupons for Bed Bath & Beyond and used the discount, along with my Mastercard, to shop online. Despite the heat wave, they used my fireplace and multiple Duraflame logs to reduce mounds of stuff (my stuff??) to ash – including, I believe, the missing set of guest sheets I left carefully folded for their comfort. Yet they were stupid and careless enough to leave the flue closed; dirty gray ash now covered every surface inside.

Airbnb had raised around \$100mn in funding but faced an existential crisis when a host published a viral account of guests vandalizing their property

This was existential - if there was no trust from the hosts or the guests, then the marketplace will crumble

Airbnb made the bold move of introducing a \$50,000 host guarantee for such incidents

2. Fix your 'Barrier Dimension'

... it has taken big strides to solve for Trust which helped in much higher adoption by Hosts to rent out their properties without anxiety

AirBnB solved for 'Trust' (the Barrier Dimension) which enhanced appeal for both hosts and guests



Host damage protection

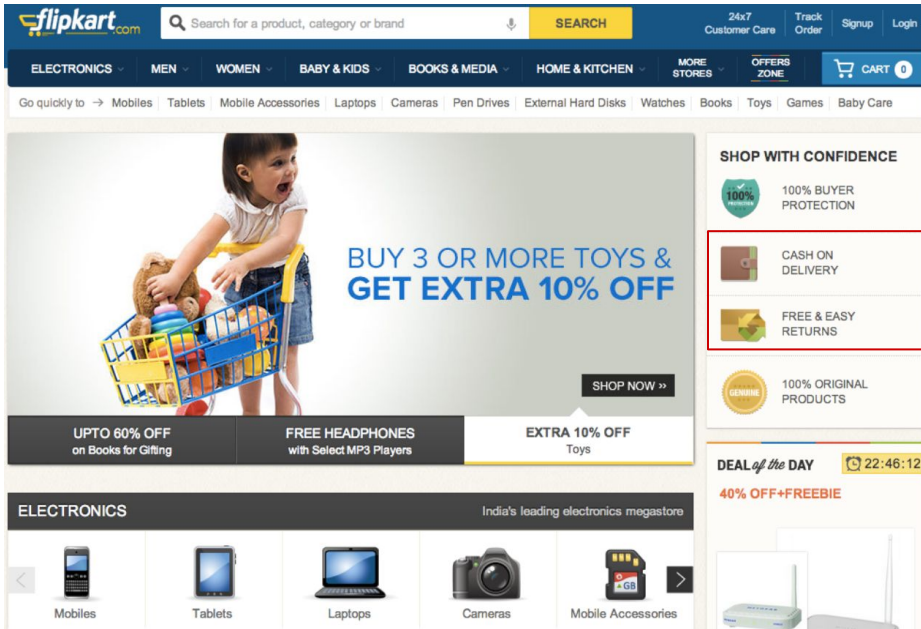
Host damage protection, part of AirCover for Hosts, reimburses Hosts up to \$3 million in the rare event your place or belongings are damaged by a guest during an Airbnb stay. You're reimbursed for certain damage caused by guests to your home and belongings if the guest does not pay for the damage. It also reimburses for extra cleaning services in certain cases, such as removing stains left by guests (or their invitees) or pet accidents and smoke odour removal.

Trust Mechanism	Who it Protects	Value
Reviews	Both	Social accountability
Verified ID	Hosts	Authenticity
Payment Escrow	Guests	Assurance
Insurance (AirCover)	Hosts	Safety net
Superhost Badge	Guests	Quality signal
Safety Hotline	Both	Peace of mind
AI Risk Tools	Platform	Scalable protection

2. Fix your 'Barrier Dimension'

Flipkart unlocked huge growth in India e-commerce when it started offering cash on delivery from 2013

Flipkart Website in 2013. There was a big Trust barrier



News article in 2013

So far, the company has been targeting audiences with credit cards and debit cards. Aware that to increase sales and profitability, they would have to reach out, the two of them decided to start the cash-on-delivery service. With this move, the company hopes students and other individuals who don't have cards will use its portal to buy books.

Says Sachin Bansal: "Retail spending leans heavily towards cash, and in India the online payment systems are not very mature. This deters people who are more comfortable with paying cash on delivery."

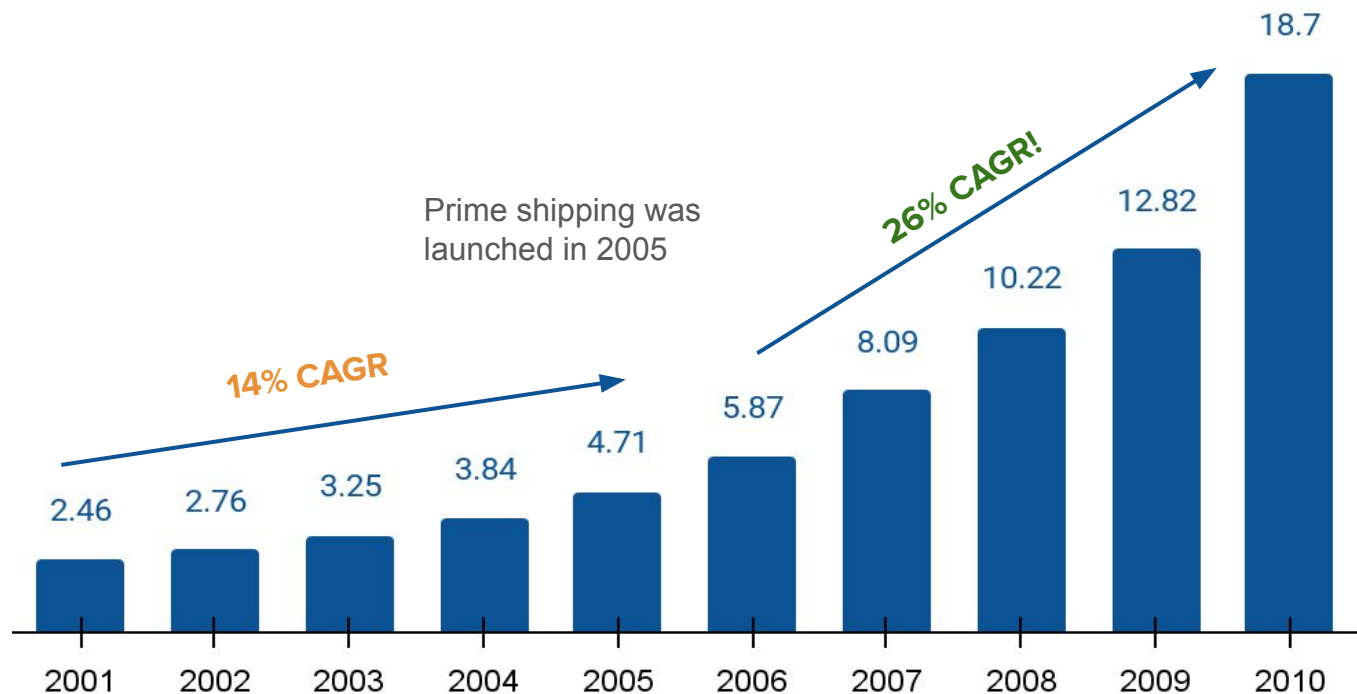
Indeed, Flipkart.com has hit jackpot. In the last two months alone, the cash-on-delivery model has contributed as much as 30 per cent of its overall sales. Further, the company is hopeful that buyers from new geographies, particularly those in smaller cities and towns, will now add to sales. Industry insiders are optimistic about the cash-on-delivery model and point out that credit card and net banking penetration is very low in the country.

Indians back then did not trust online payments and credit card penetration was very low. Customers preferred to receive the product first and then pay. Flipkart's Cash on Delivery (COD) option unlocked major growth for India's e-commerce industry with more customers getting comfort to try online

2. Fix your 'Barrier Dimension'

Amazon in US saw a very clear inflection in growth as it expanded the Prime program and offered fast and free shipping on a wide selection of products

Amazon North America sales (\$bn)



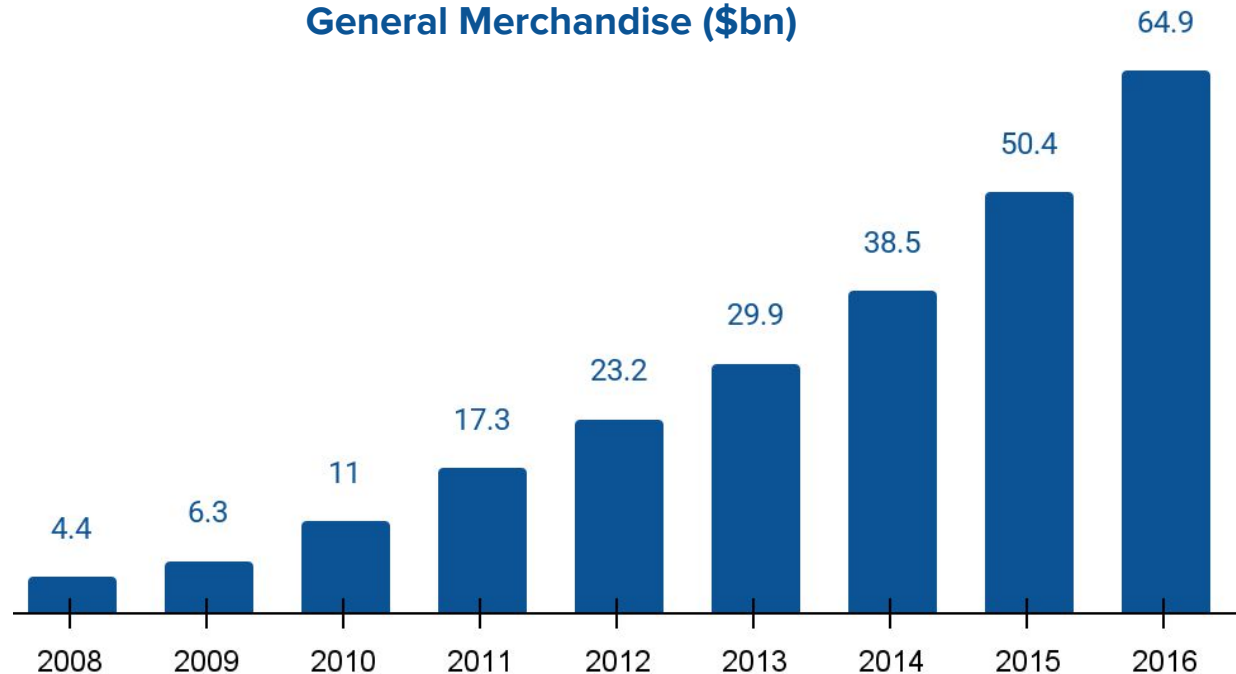
Free and Fast Two day shipping via Prime was the big growth unlock for Amazon in the US

Speed of shipping and the shipping fee for every order was clearly a big barrier that Amazon overcame with Prime

2. Fix your 'Barrier Dimension'

Amazon US further drove growth with Marketplace expansion (third party sellers) and Fulfilled-by-Amazon in conjunction with Prime

Amazon North America sales only Electronics and General Merchandise (\$bn)



Amazon continued to grow Prime membership at a fast pace and likely with very high retention and order frequency per customer

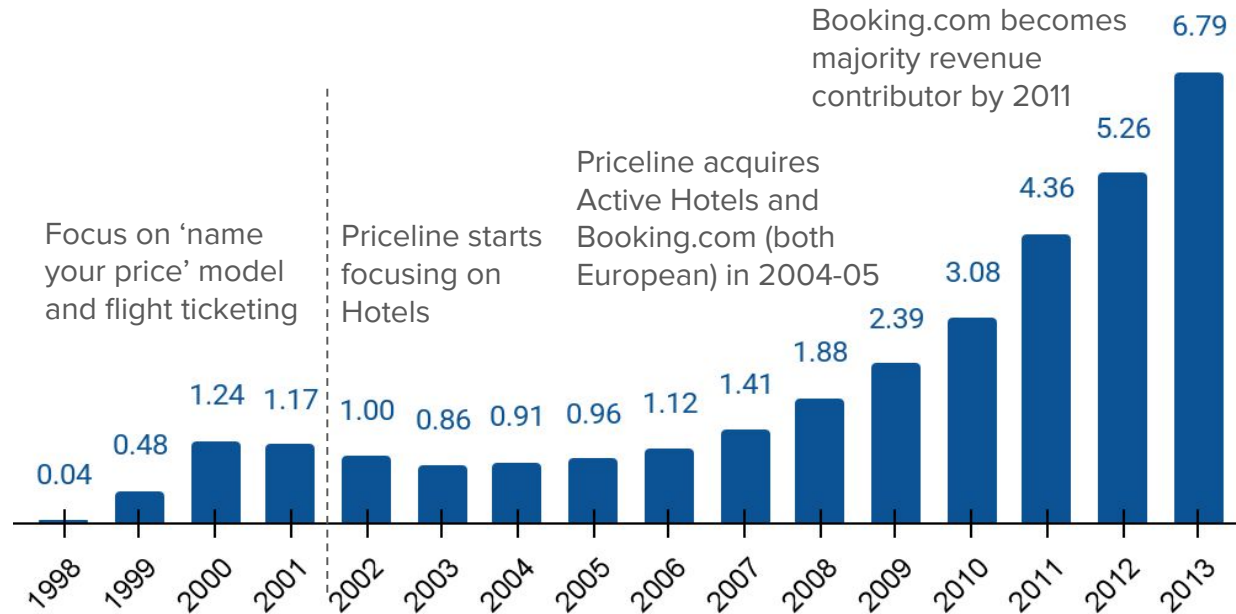
It expanded 'marketplace' - i.e. third party sellers and fulfilled-by-amazon which brought a lot of selection from third party sellers under Prime

This further reinforced the Prime proposition and expanded the products available for free and fast shipping

3. Pivot your value proposition if needed

Priceline ditched the 'name your price' flight ticketing in favour of conventional online hotel booking (with focus on Europe)

Priceline (Booking Holdings) revenue in \$bn



Priceline could only get so much revenue from its pioneering model of 'name your price' in flight ticketing

The new CEO (2001) Jeff Boyd saw the writing on the wall and pivoted to start focusing on Hotels

He made two pivotal acquisitions for deep bargains in 2004-05 in Europe including Booking

By 2011, Booking was the majority revenue driver

In 2018, Priceline renamed itself to Booking (which contributed 80% of group revenue)

3. Pivot your value proposition if needed

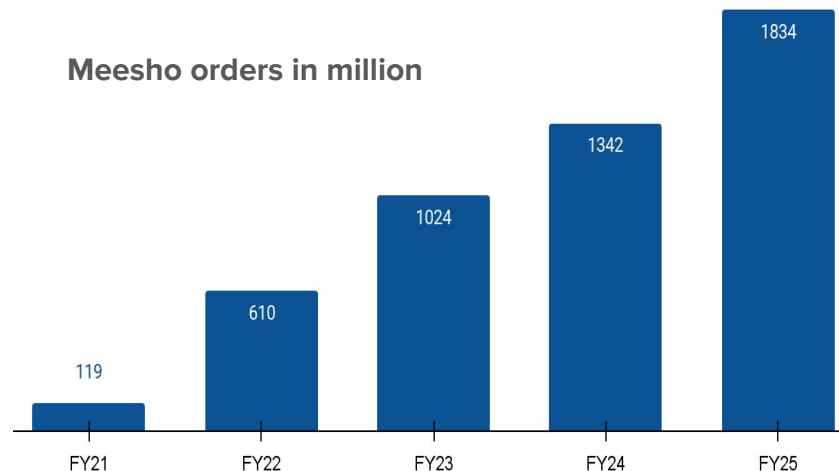
Meesho pivoted from catering to housewives to direct commerce with zero commission model unlocking the Tier 3 Indian market

Meesho till 2020 catered to 'resellers', typically housewives who ordered products on Meesho for their friends and neighbours and earned a commission but growth was stunted

In 2021, it pivoted to direct commerce with a zero commission seller marketplace and was able to unlock huge growth in the Tier 3 Indian market

The image is a promotional graphic for Meesho. It features a woman in a yellow and red striped shirt looking at her smartphone. The phone screen displays a Meesho storefront with various clothing items and a chat interface. To the right of the woman, the Meesho logo is prominently displayed above the text 'से Reselling करके Earn करें' (Reselling to Earn). Below this, a section titled '3 Steps to Earn with Meesho' lists the process: 1 Browse, 2 Share, and 3 Earn, each in a pink arrow-shaped box.

Meesho orders in million

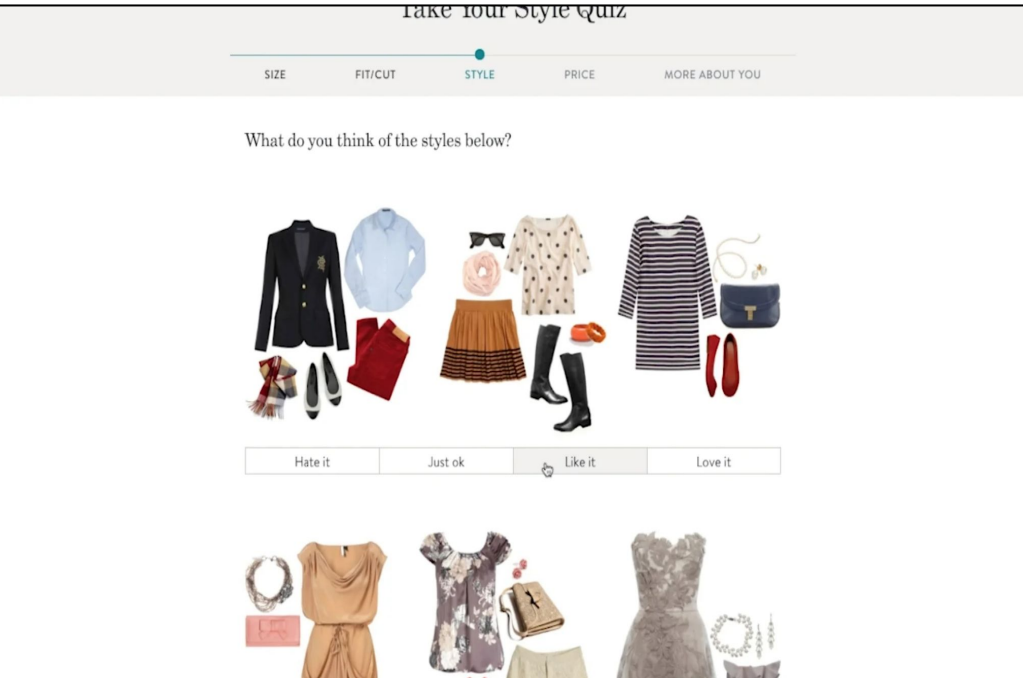


3. Pivot your value proposition if needed

Stitch Fix struggles to expand appeal with its highly personalized 'fixes' or boxes of fashion. It needs to pivot its proposition while retaining its personalization strengths

Stitch Fix upfront forces customers to take a very detailed 'style quiz' to understand customers better and personalize

Stitch Fix then combines a human 'stylist' and the quiz data to recommend 'fixes' or clothes that customers can buy



Z Supply
Denim
Jacket
\$138

Love Ellie
Cable
Cardigan
\$59

Daze
Denim
Cuffed
Jean
\$94

Pinque
Sweater
Vest
\$44

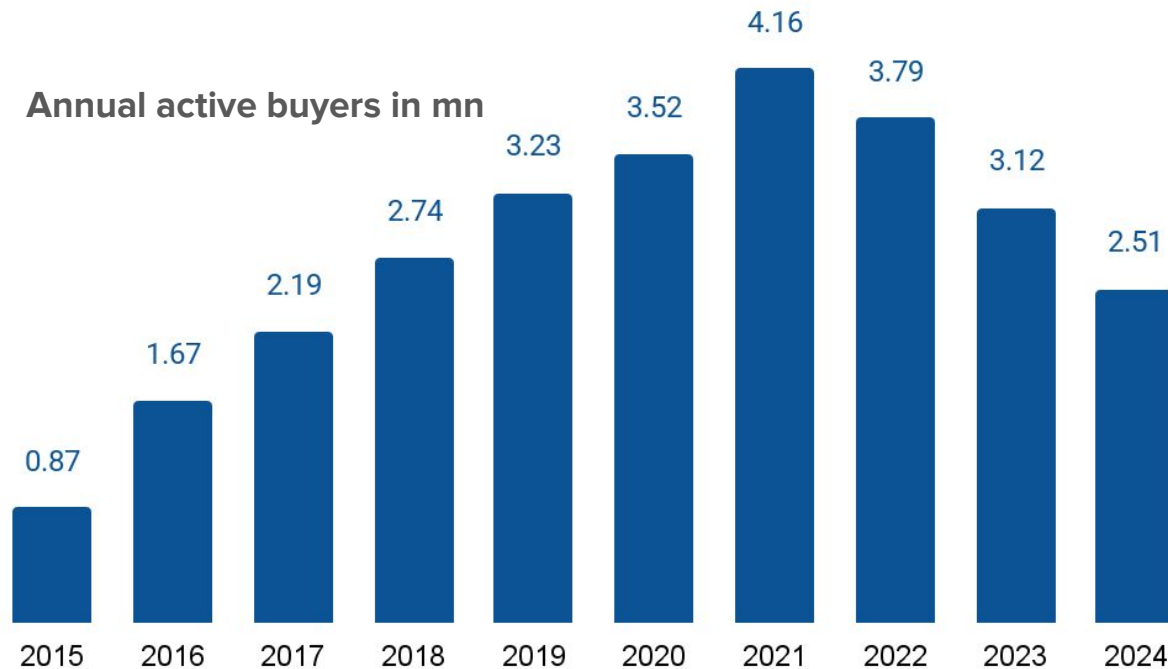
Pistola
Arched
Leg
Jean
\$178

Dr. Scholl's
Hello Loafer \$60

3. Pivot your value proposition if needed

Stitch Fix struggles to expand appeal with its highly personalized 'fixes' or boxes of fashion. It needs to pivot its proposition while retaining its personalization strengths

After initial growth the novelty faded for customers and the company could not expand its appeal



The Core appeal of Stitch Fix was to 'spend less time shopping' and let the algorithm and its army of back-end human stylists do the work

This did not appeal to a lot of customers beyond a small base. Most women still want to browse and shop

Stitch Fix also could not deliver on its promise of 'great' fixes consistently

The proposition has to be pivoted to a more appealing and a 'more important' problem

4. Make Hard Strategic Choices and Tradeoffs where needed

Stitch Fix needs to make clear choices to ensure a consistently delightful experience with their 'fixes'

Stitch Fix combines a human 'stylist' and the quiz data to recommend 'fixes' or boxes that customers can buy

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Hello Loafer \$60

Illustrative customer comments from reddit

For the past several fixes the pants have been the wrong size, colors of clothing not what I requested, they are sending jewelry that I asked not to receive. It's like I'm receiving someone else's boxes. I've sent everything back with comments yet nothing has changed,

They Make it so purposefully hard to shop on their website. I can never make a full outfit without one of the items ending up sold out 10 minutes later.

And it's about to be summer. They keep suggesting jeans and sweatshirts so I have to scroll past all of this junk to make an outfit. I'm just really aggravated with stitchfix.

Not worth it for me at all. I tried them, then tried again, and again - probably about 6 times in total. I would request flowy skirts and dresses, nothing tight, no clingy materials, nothing in black, nothing sleeveless, no jackets. My boxes always included skinny jeans, black sleeveless tops, maybe a sleeveless dress, jackets. At some point, I did get a nice skirt and a couple of decent tops. But I sent back about 90% of what was sent.

Stitch Fix can make some strategic choices: for example,
Only private label: helps with consistent sizing, availability
One price range: Example, all under \$59 to have consistent price positioning

4. Make Hard Strategic Choices and Tradeoffs where needed

***The RealReal*, the luxury resale platform struggled post Covid with steep losses and cratering growth but is showing signs of turnaround**



Chanel
2024 Top Handle Clutch w/ Chain
\$5,000.00
[See Similar](#)



Chanel
Medium 19 Flap Bag
\$2,975.00
[See Similar](#)

The RealReal is a luxury resale platform that primarily operates in United States

How it works:

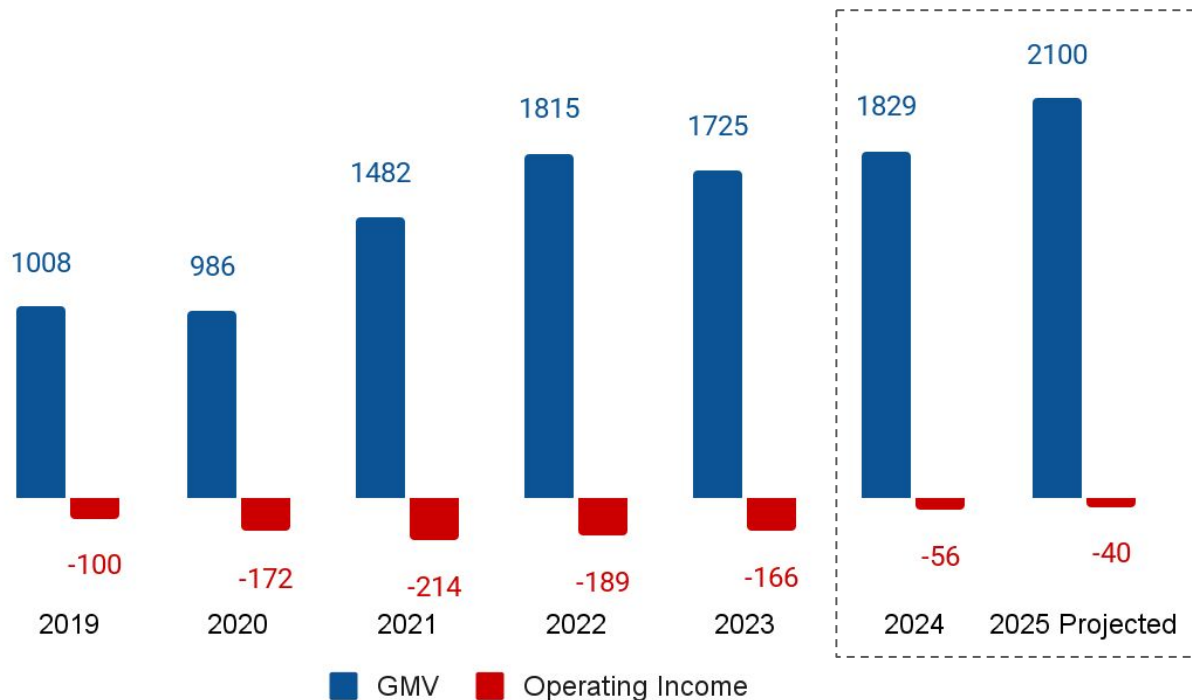
- Sellers (usually individuals) notify RealReal of goods they want to sell
 - The platform receives the goods, authenticates and then lists for sale
 - Platform controls end-to-end selling including the pricing
 - RealReal then ships to buyers and takes a commission and settles the rest with the seller
- This is called **consignment model**

The company also operates 'direct selling' model where it procures and settles upfront from seller and sells to buyer and keeps entire revenue

4. Make Hard Strategic Choices and Tradeoffs where needed

The RealReal, the luxury resale platform struggled post Covid with steep losses and cratering growth but is showing signs of turnaround

The RealReal Financial Performance (\$mn)



There are signs of turnaround in both growth and profitability

4. Make Hard Strategic Choices and Tradeoffs where needed

***The RealReal*, is growing profitably by focusing on higher value items (discouraging lower order value sellers) and by moving away from Direct Selling**

The RealReal's updated commission structure penalizes lower order values

What Your Item Sells For	×	Your Percentage	=	Your Payout
Over \$5,000 ⓘ		70%		Over \$3,500
\$750 - \$4,999 ⓘ		65%		\$487 to \$3,249
\$300 - \$749		60%		\$180 to \$449
\$200 - \$299		55%		\$110 to \$164
\$150 - \$199		45%		\$67 to \$89
\$100 - \$149		30%		\$30 to \$44
\$0 - \$99		20%		\$0 to \$19

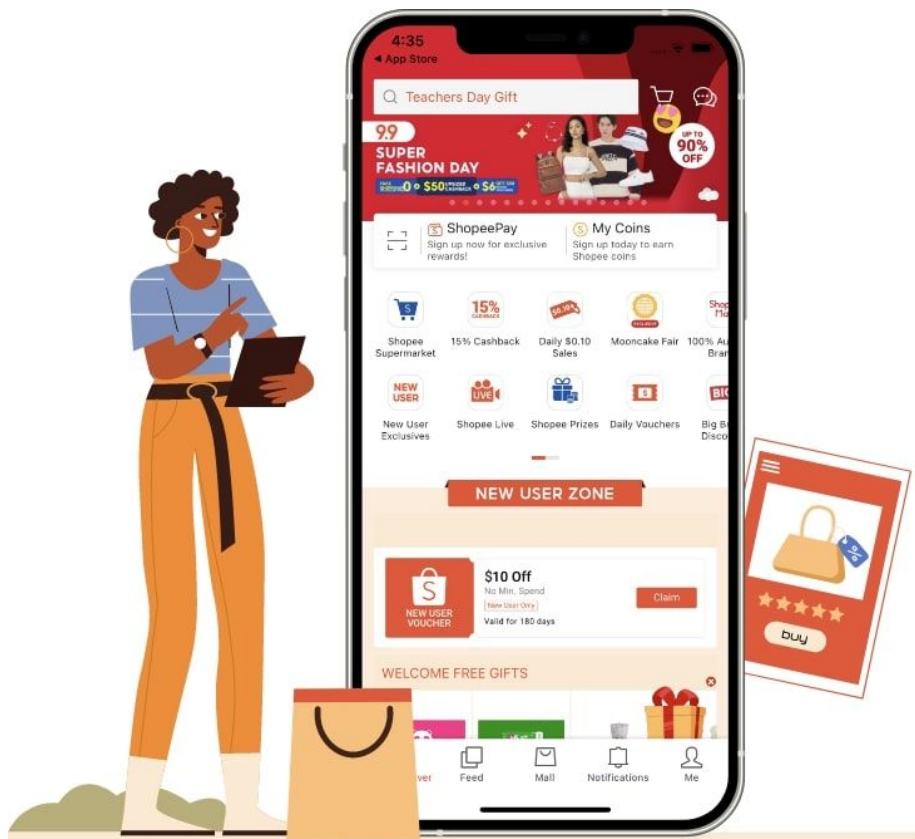
The RealReal loses money when order values are low, so it is using its commission structure to discourage lower value items

Lower value items have very high commissions (eg. 80% commission as seen on left for \$99 selling price)

The platform has also moved away significantly from Direct selling (upfront procurement) to focus on the consignment model

5. Refocus and Sharpen your battleground

Shopee (part of Sea Limited), the South East Asian e-commerce giant quickly pulled back from new markets when post-covid e-commerce growth slowed



Sea's Shopee leaves Spain, to lay off teams in South-east Asia

Shopee leaves Poland and thereby Europe

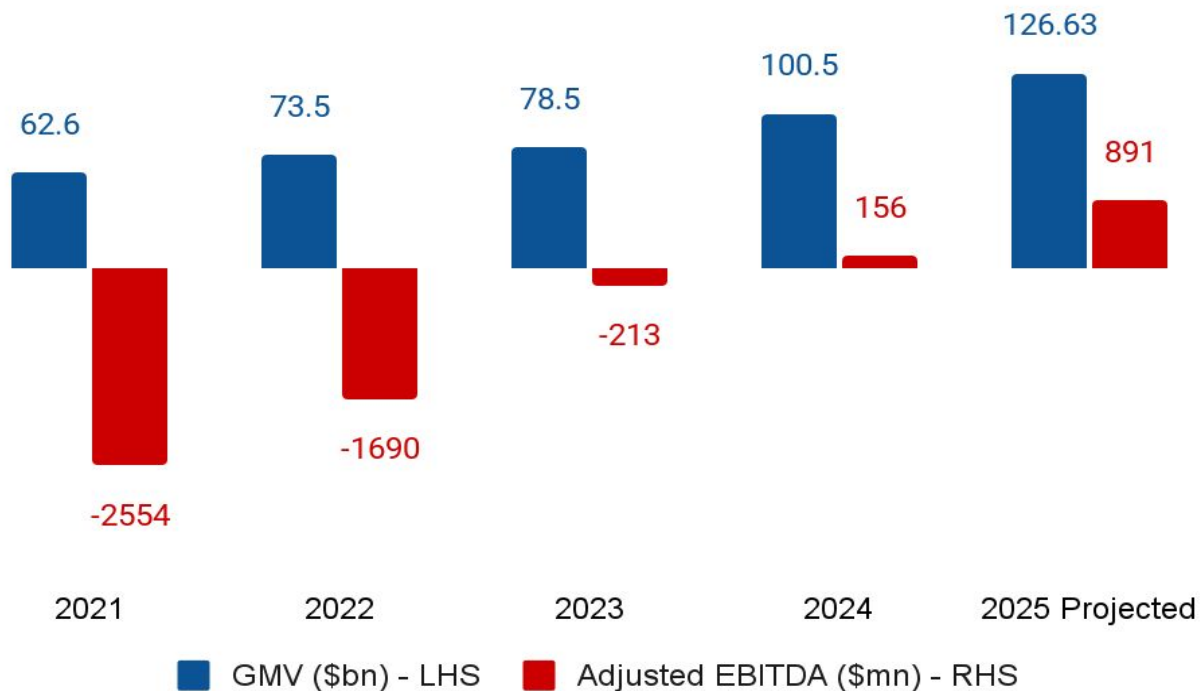
Sea's Shopee Exits France Just Months After Europe Foray

Sea e-commerce unit Shopee to shut India operations

5. Refocus and Sharpen your battleground

Shopee (part of Sea Limited), the South East Asian e-commerce giant quickly pulled back from new markets when post-covid e-commerce growth slowed

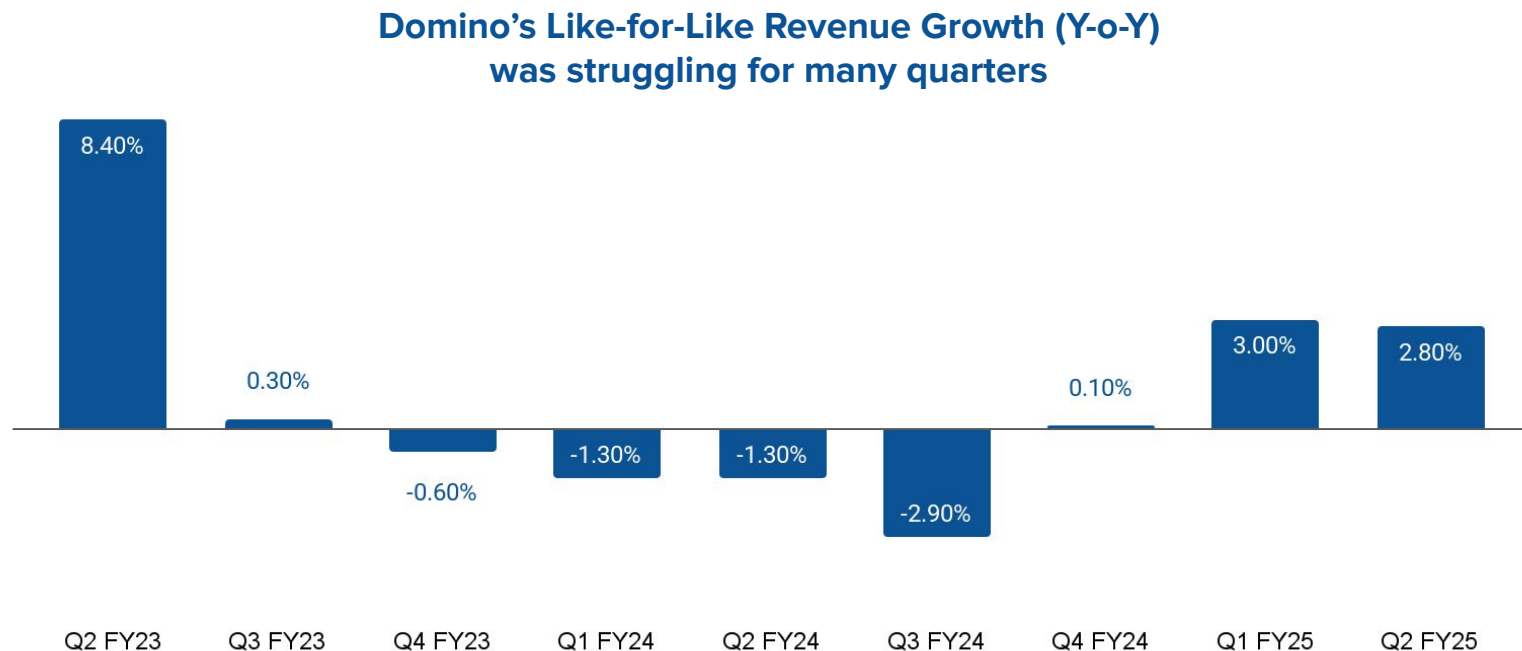
Shopee GMV (\$bn) and Adjusted EBITDA (\$mn)



Refocusing on its core markets of South East Asia and Brazil has helped Shopee in both growth and profitability

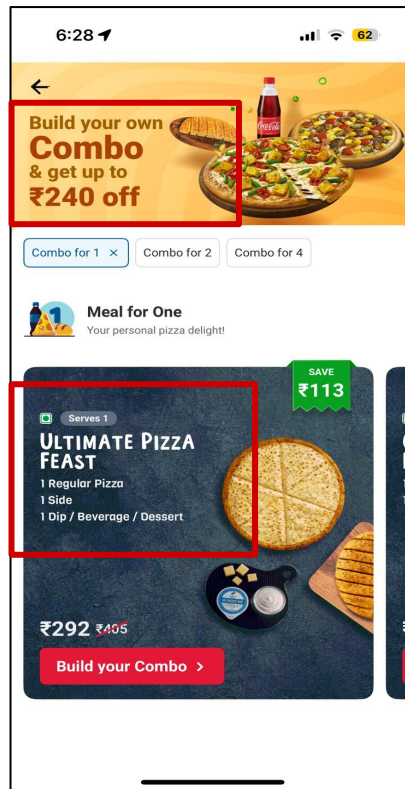
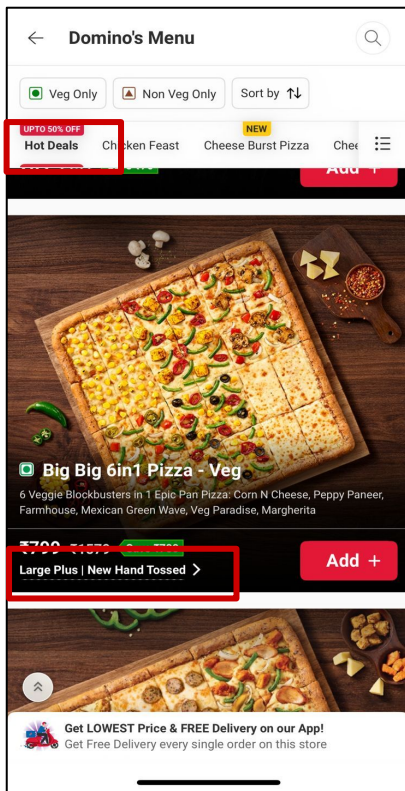
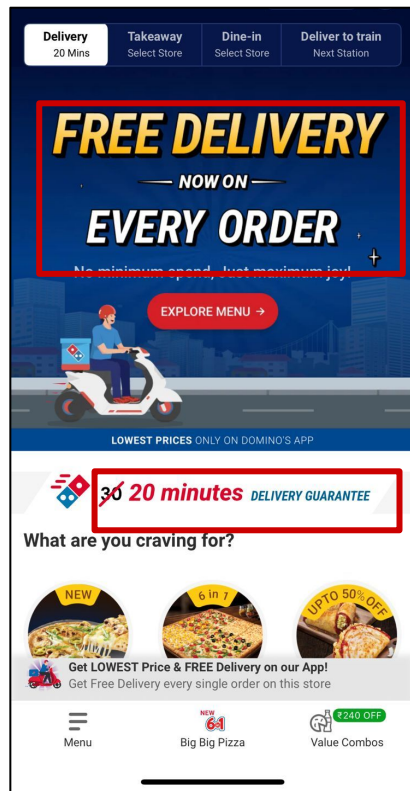
5. Refocus and Sharpen your battleground

Domino's India (more than 70% is online delivery) was struggling with the rise of Food Delivery platforms Zomato and Swiggy...



5. Refocus and Sharpen your battleground

Domino's India doubled down on Value and Convenience (free delivery, deals and 20 minute guarantee instead of 30 minute)



The Big Initiatives are paying off

Free delivery on most orders has removed friction to order

Multiple locations have **20 minute delivery** with guarantee

Multiple 'hot deals' and **discounts throughout the week**

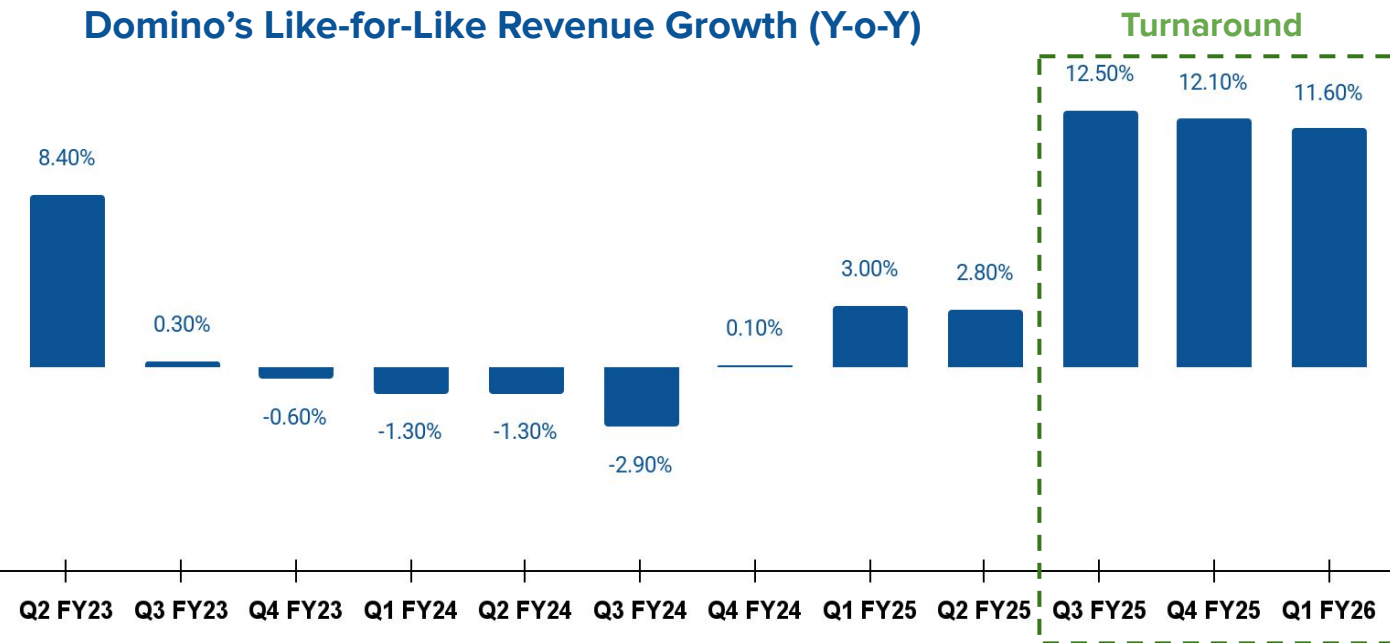
'Value for money' menu **innovation**. Very large pizzas for parties/groups and affordable 'meal for one' combos

Continued growth in loyalty program *Cheesy Rewards*

5. Refocus and Sharpen your battleground

Domino's India is seeing a turnaround in growth. It is balancing profitability with higher premium mix and designing for higher order values

Domino's Like-for-Like Revenue Growth (Y-o-Y)



Despite free delivery and discounts, it is solving for profitability through premium mix and through higher order values

6. Fix your Distribution and Customer Approach (acquisition and retention)

Flipkart was able to stay ahead as a market leader in India with its very successful **Big Billion Days** annual high profile sale event



Flipkart started its Big Billion Days sale event in 2014 and this **remains the biggest sale event in India**

It coincides with the annual festival season in India in the months of September to October

For a long time, Flipkart was able to continue to acquire millions of new customers who never shopped on the platform and this is also an occasion to 'reactivate' dormant customers

6. Fix your Distribution and Customer Approach (acquisition and retention)

Meesho was able to reach tens of millions of Tier 3 women in India through YouTube micro-influencers - an untapped channel that gave it massive exposure

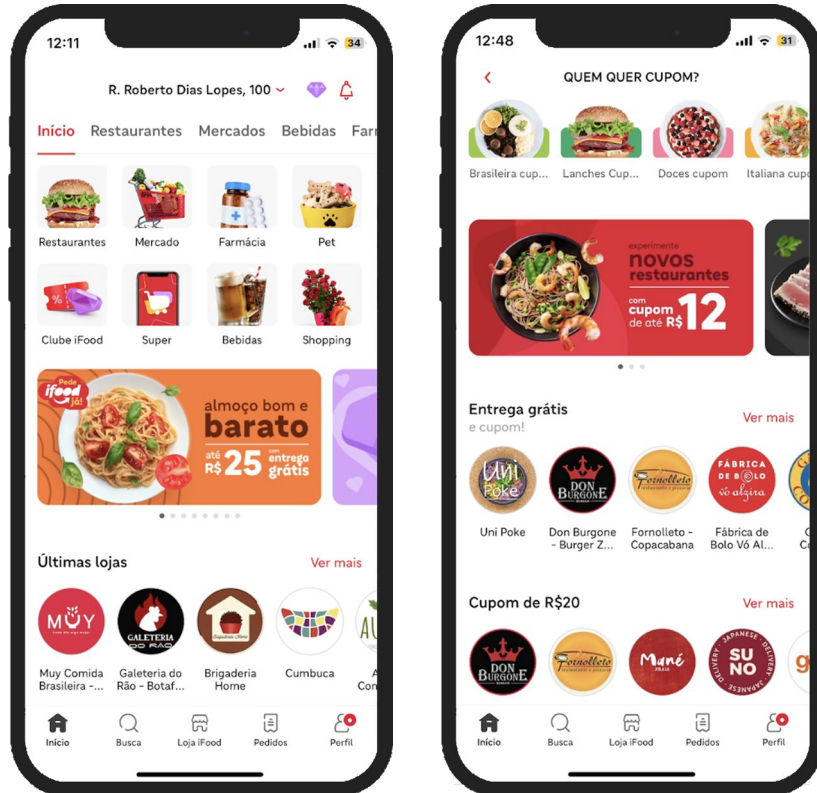
The collage displays several YouTube video thumbnails from Meesho influencers, illustrating the brand's reach through micro-influencers. The thumbnails are arranged in a grid-like fashion, showing various products and promotional content.

- Top Left:** A thumbnail titled "so beautiful kurti pent #kurtiavadi #kurtis ..." with 4.2M views. The video is by "Business girl" (8 months ago).
- Top Right:** A thumbnail titled "meesho Huge Maxi Dress Haul" with 4.3M views. The video is by "SalmaStyles" (8 months ago).
- Middle Left:** A thumbnail titled "Useful meesho finds #ashortaday #meesho #sh..." with 19M views. The video is by "Parul Mahaajan 1" (7 months ago).
- Middle Right:** A thumbnail titled "Meesho viral juice mixer// #youtubeshort #shorts #m..." with 18M views. The video is by "Official Styler" (7 months ago).
- Bottom Left:** A thumbnail titled "Best alternative from meesho for viral duffle bag" with 3.9M views. The video is by "Review By Jui" (7 months ago).
- Bottom Right:** A thumbnail titled "MEESHO AFFORDABLE GIFT ITEMS Starting ₹110 - Meesho Affordable Gift Items - starting ₹110! #me..." with 3.8M views. The video is by "Debopriya Majumder" (4 months ago).
- Far Left:** A thumbnail titled "Meesho Sharara Set Under Budget" with 14M views. The video is by "Annie" (7 months ago).
- Far Right:** A thumbnail titled "Celeb Copy Sarees from Meesho" with 12:16 duration. The video is by "I Bought Celebrity Fake Sarees Dupes in Cheap from Meesho" (Sonia Garg, 199K views, 3 weeks ago).
- Bottom Center:** A thumbnail titled "Meesho TOP 15 Winter Wear Collection Starting Rs.349" with 4.4K views (6 hours ago). The video is by "fashionable pooja".

Source: Youtube screenshots

6. Fix your Distribution and Customer Approach (acquisition and retention)

iFood, the food delivery king in Brazil executed an aggressive M&A strategy between 2014 and 2016 to lock the market on the supply side



iFood is the online food delivery market leader in Brazil

It was founded in 2011 and today does 120 million monthly orders and reportedly has a 80% market share

One of the major reasons for its dominance lies in the 2014-2016 period when it executed a rapid M&A strategy gobbling up 22 companies including merging with main competitor (Just Eats owned) Restauranteweb

The M&A approach gave it a rapid supply expansion on the restaurant side (which is dominated with independent restaurants rather than chains)

These restaurants once acquired rarely switched. iFood also had on-ground teams that used to handhold restaurants in their journey

6. Fix your Distribution and Customer Approach (acquisition and retention)

Flipkart in India found 'hooks' with online-first smartphones that brought a lot of traffic to the platform

Nothing Phone (1) 5G

From ₹23,999* ~~₹37,999~~

Hurry! Limited Stocks Only

50MP Dual Camera

*Incl. All Offers



Infinix Hot 30 5G

From ₹11,499* ~~₹14,999~~

Big Screen 5G Phone | Best Price
Big Display | 6000mAh



Redmi Note 12

From ₹10,799* ~~₹18,999~~

Sleek & Stylish

Pay Only ₹1,800/m



Google Pixel 7

From ₹36,499* ~~₹59,999~~

Never Before Offer
Google Tensor G2 | Real Tone



realme 10 Pro 5G

From ₹15,999* ~~₹29,999~~

Boundless Display | ProLight Cam
Hyperspace Design | 108 MP



moto G14

Just ₹8,099* ~~₹12,999~~

Great Deal On All-Rounder
Premium Design | FHD+ Display



OPPO Reno10 Pro 5G

Just ₹35,999* ~~₹44,999~~

Ultra-Clear Portrait Pictures

***Add. Exch: ₹4,000**



Flipkart pioneered online-first smartphones in India

When smartphones were rapidly growing as a category, Flipkart would work with emerging brands like Xiaomi and Realme to launch their new smartphones at scale

A lot of traffic would come to Flipkart platform and smartphone category acted as a 'hook'

6. Fix your Distribution and Customer Approach (acquisition and retention)

Etsy has unique selection from artisans and independent sellers and attracts a lot of buyers but struggles with order frequency and retention

← Back to search results

Handmade Leather Tote Bag: Large Vintage Shoulder Bag

rustichidework ★★★★★

✓ Arrives soon! Get it by 10:17 Jan if you order today
✓ Returns accepted

Primary colour

Select a colour

Engraving

Select an option

+ Add personalisation (optional)

Add to cart

Item details

Highlights

- Made by rustichidework
- Materials: GOAT LEATHER, Canvas, Brass
- Gift wrapping available

Handmade Leather Tote Bag – Large Vintage Shoulder

Reviews for this item (9)

★ 4.6/5
item average

4.6 Item quality

4.9 Delivery

5.0 Customer service

100% Buyers recommend

Etsy is an online e-commerce platform which has tens of millions of unique artisanal and handmade items from small sellers

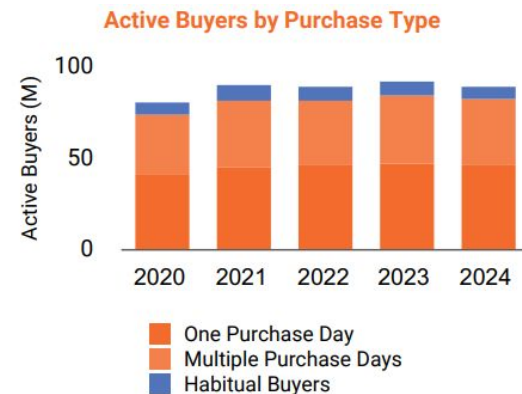
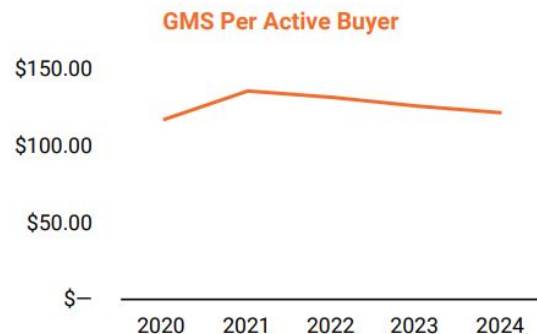
It has very unique selection that is hard to find on other platforms

Etsy platform does about \$11bn in Gross Merchandise Sales (GMS) but that is in decline last three years

6. Fix your Distribution and Customer Approach (acquisition and retention)

Etsy has unique selection from artisans and independent sellers and attracts a lot of buyers but struggles with order frequency and retention

Etsy's user metrics show the problem - most do only one purchase a year (curiosity?) and platform spend per buyer is too low (~\$120). What can be done?

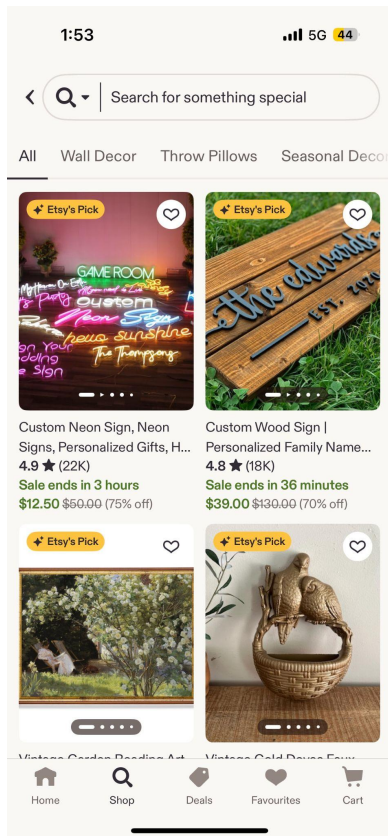
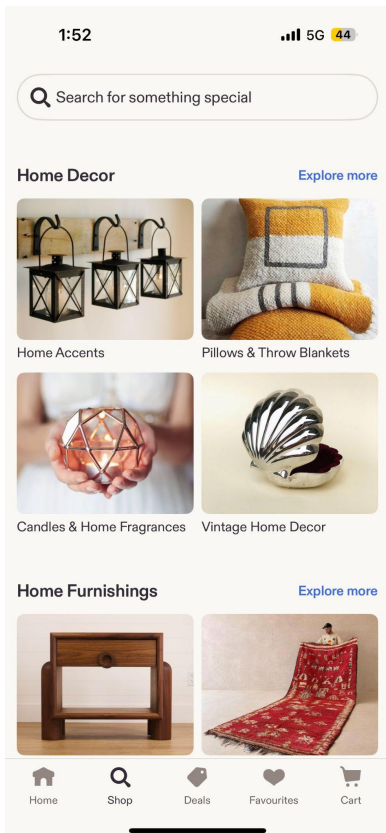


Note: Reactivate buyers are those who again purchase without purchasing for previous 12 months

Multiple purchase days means 2 days in a year or more

6. Fix your Distribution and Customer Approach (acquisition and retention)

Etsy must revamp its approach. It should be an 'impulse' platform (where customers come to buy without thinking) but it is today oriented as an 'intent' platform



Etsy can do the following...

Have an influencer program (great for impulse) and have 'influencer stores' on Etsy for traffic and for curation

Have a very simple, straightforward loyalty program. Eg: Every \$250 spend gets a \$10 voucher

Double down on Gifting use case

Make app more engaging with 'points' for things like daily check ins, curating and sharing with friends etc.

7. Have a differentiated game-changing loyalty program

A Loyalty program must be win-win-win: win for customers, win for sellers and win for the platform

Characteristics of a Truly Great Loyalty Program

Note: from my observation, loyalty program design today is generally highly misunderstood and sub-par

Helps in retaining your best customers

Increases the order frequency of loyalty members

Increases not only sales for sellers but improves economics due to fixed cost leverage (higher sales with same fixed costs)

Sellers love it so much they willingly fund additional discounts or value

Helps make platform economics much better and shapes participant behaviour

7. Have a differentiated game-changing loyalty program

Grab (South East Asia mobility and food delivery super app) has a two-pronged approach to loyalty

GrabCoins ('earn' program)

 Order Grab Signatures on GrabFood Earn 5% back in GrabCoins	 Order GrabFood for Breakfast or Teatime Earn 5% back in GrabCoins
 Order from Health & Beauty Store on GrabMart Earn 5% back in GrabCoins	 Make an Advance Booking Earn 5% back in GrabCoins
 Book Premium or Exec ride Earn 5% back in GrabCoins	 Book a Table on Grab Dine Out Earn 150 GrabCoins
 Pay with GX card or GrabPay at JayaGrocer Earn 1x GrabCoins	 Top up GrabPay with linked GX Account Earn 0.5X GrabCoins
 Spend with GX card on Grab services overseas Earn 3X GrabCoins	 Order GrabFood with Grab For Business Earn 1X GrabCoins
 Shop online with PayLater by Grab Earn 200 GrabCoins	 Book a GrabCar ride Earn up to 5X GrabCoins

 Try 2 months of GrabUnlimited for free*

GrabUnlimited ('paid' program)

GrabUnlimited  Promo Cheat Sheet	
ONLY P48 PER MONTH with annual plan Subscribe now!	
 GrabCar 8% OFF every day No min. fare required	 GrabFood FREE delivery every day Min. spend P475
 GrabFood Up to 35% OFF with UnliDeals Min. spend varies	 GrabMart FREE delivery 3x per month Min. spend P750
 GrabExpress P30 OFF 3x per month Min. spend P140	 GrabRewards Exclusive earning of GrabRewards points

GrabUnlimited is geared towards 'power users' with an intent to reduce friction (free delivery) and to drive higher repeats and cross-sell (of various offerings) on the platform

8a. See the writing on the wall and change your business model

Grubhub was the online food 'delivery' leader in US but was totally disrupted by DoorDash



GrubHub was founded in 2004 and was the online food 'delivery' leader

In reality, It was a restaurant ordering system. Restaurants had to deliver the food on their own

DoorDash entered the market and started as the logistics partner for restaurants. Customers can order food on DoorDash and get reliable food delivery to their doorstep

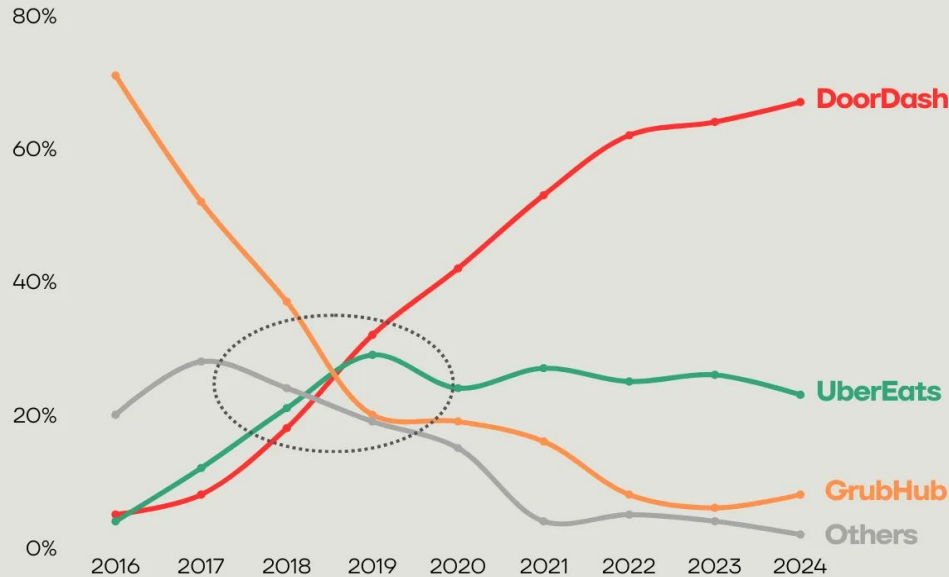
Grubhub had gone public in 2015 and was already making good profits

This new model by DoorDash was much worse in unit economics and hence Grubhub dallied for a long time...

8a. See the writing on the wall and change your business model

Grubhub was the online food 'delivery' leader in US but was totally disrupted by DoorDash

US Food Delivery Market Share, 2016-2024



sources: Bloomberg Second Measure, McKinsey, public financials

www.danhock.com

... but the writing was on the wall

Customers wanted reliable food delivery and restaurants could not offer it and hence there was a need for a reliable platform like DoorDash

Grubhub started delivery in 2016-17 but was slow to expand because of the objectively poorer unit economics of the new model

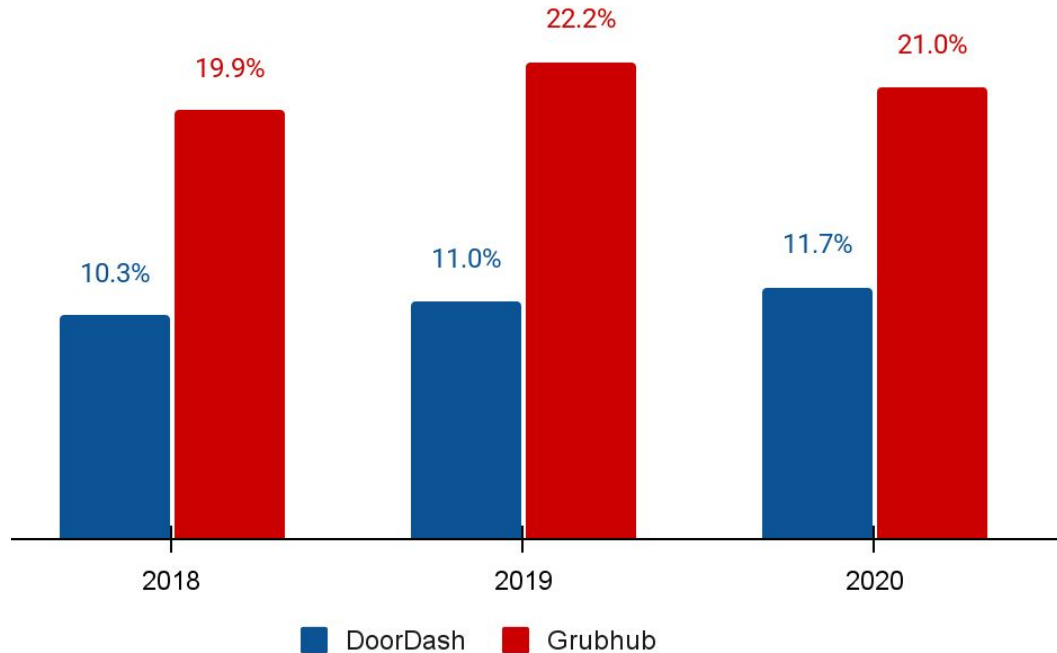
DoorDash had huge dominance in suburbs where conventional wisdom was it was expensive to serve. But suburbs came with higher order values (bigger families) and with much lower competition

DoorDash consistently increased selection and ran away with the market

8a. See the writing on the wall and change your business model

Grubhub was charging much higher take rate from restaurants compared to DoorDash. It had better profitability throughout but lost the war entirely

Revenue take rate (Revenue as % of GOV)

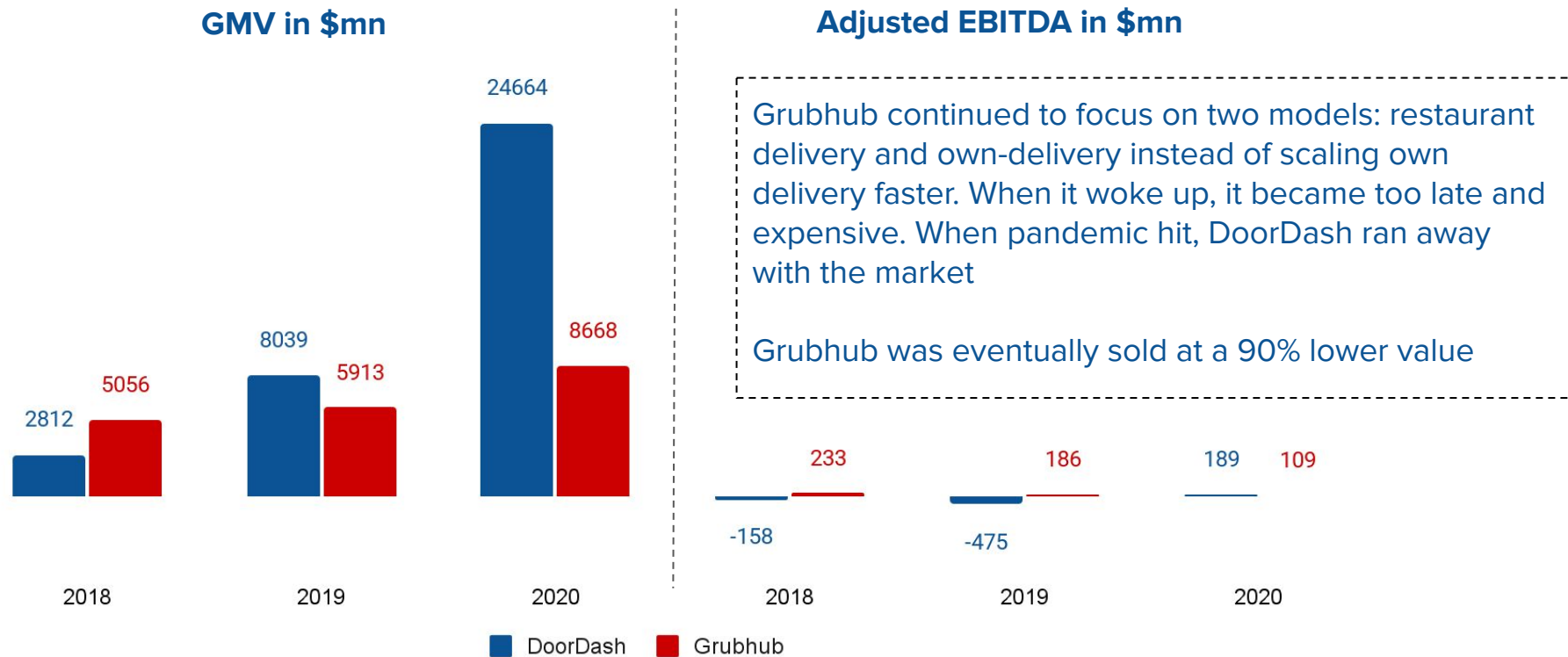


Grubhub charged restaurants much higher commissions especially when restaurants chose Grubhub delivery. There is little wonder why restaurants wanted to partner with DoorDash for delivery rather than Grubhub

Restaurants also saw high incrementality from DoorDash (in 2020, 80% of orders were incremental for restaurants as per a survey). This was because of its strong reach and coverage

8a. See the writing on the wall and change your business model

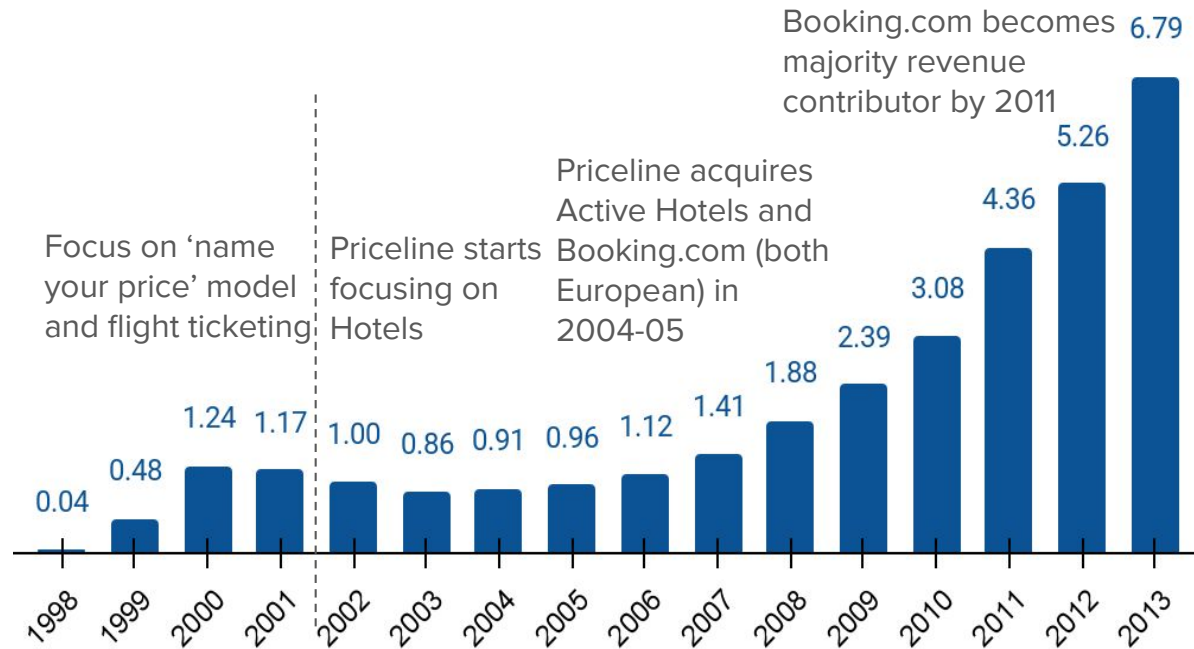
Grubhub was charging much higher take rate from restaurants compared to DoorDash. It had better profitability throughout but lost the war entirely



8b. See the writing on the wall and find new sources of growth

Priceline found hotels in Europe as source of growth and acquired Booking in 2005. Booking contributes 80% of revenue and is one of the greatest acquisitions of all time

Priceline (Booking Holdings) revenue in \$bn



The CEO Jeff Boyd saw the writing on the wall for the original Priceline model and moved to hotels.

He saw Europe market as a big opportunity and acquired Active Hotels and Booking.com for a **combined price of about \$250mn** and merged both under Booking

Today Booking platform alone is likely worth \$120bn in market cap. Group market cap is \$170bn!

8b. See the writing on the wall and find new sources of growth

Tripadvisor was not able to grow its platform. It moved to find a new source of growth
- Viator (experiences, tours) and The Fork (Dining)

Viator platform for booking Tours and Experiences

The screenshot shows the Viator website interface. At the top, the Viator logo is on the left, followed by a 'Discover' dropdown and a search bar containing 'Rome Walking Tours'. Below the search bar, a breadcrumb trail reads: 'Home / Things to do in Italy / Things to do in Rome / Rome Tours / Tours, Sightseeing & Cruises / How to Get Around / Walking Tours'. The main heading is 'Top Rome Walking Tours'. Below this are filter buttons: 'Select Dates', '2 Adults', 'Filters', 'Walking Tours' (selected), 'Half-day Tours', 'Skip the line Tickets', and 'Full-day Tours'. It indicates '1,000+ results'. Three tour cards are displayed: 1. 'Best of Rome Walking Tour including Trevi Fountain' with a 4.6 rating (895 reviews), marked 'Best Seller'. 2. 'Rome City, Pantheon, and Trevi Fountain Walking Tour' with a 4.9 rating (247 reviews). 3. 'Colosseum, Roman Forum & Palatine Hill Guided Tour' with a 4.5 rating (8,798 reviews).

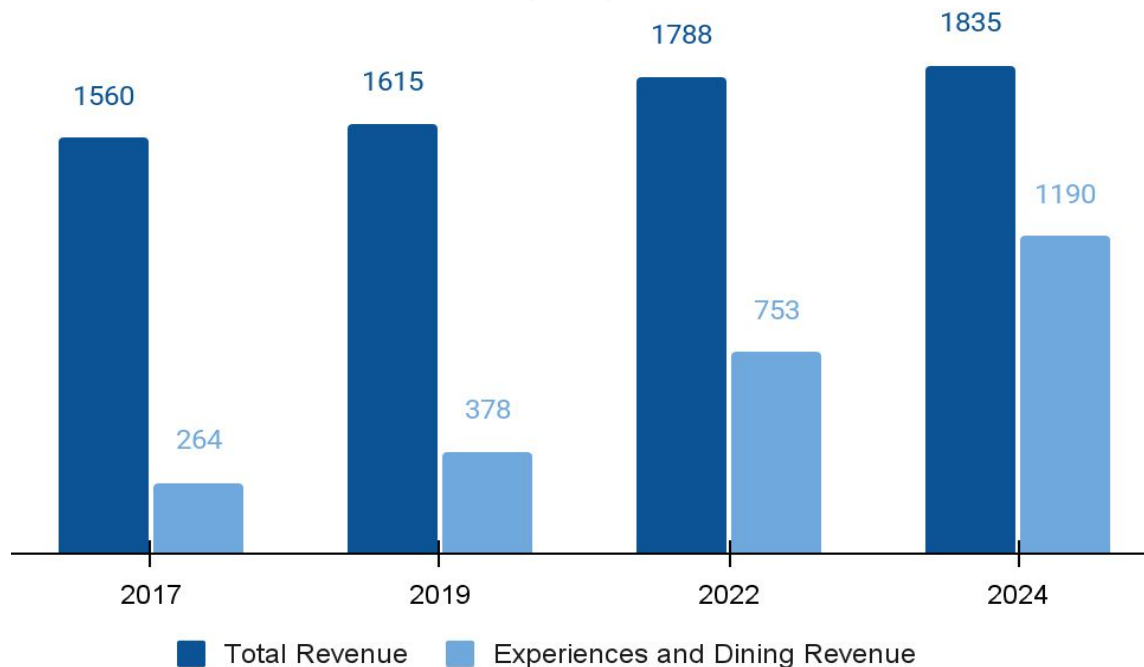
The Fork platform for booking Dining experiences in Europe

The screenshot shows the The Fork website interface for 'Barcelona Grill Steak House'. The restaurant name is at the top, followed by its address 'Carrer del Rec Comtal, 7, 08003, Barcelona', cuisine 'Argentinian', average price '€20', and a 9.7 rating from 233 reviews. There are three large food photos. Below the photos are tabs for 'About', 'Menu', and 'Reviews'. A 'Book a table' section is on the right, showing 'For free' and a calendar for January 2026. The calendar shows dates from Monday to Sunday, with some dates marked as 50% off. On the left, under 'For You', there are two promotional cards: 'Enjoy up to 50% off food' and 'Pay with TheFork Pay'.

8b. See the writing on the wall and find new sources of growth

Today, majority of Tripadvisor revenue comes from Experiences and Dining

Overall Tripadvisor, Experiences and Dining Segment Revenue
(\$mn)



At an EBITDA level both Viator and The Fork are slightly profitable. Tripadvisor continues to heavily invest in both

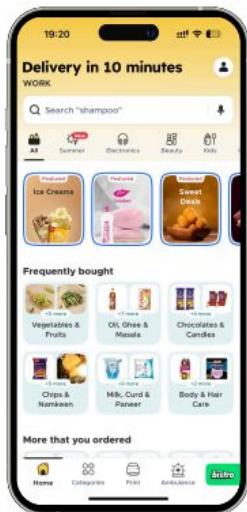
Viator platform alone does \$840mn in revenue and has heavy competition from platforms like Klook and GetYourGuide

Note: Experiences and Dining has a smaller revenue of \$170mn coming from main Tripadvisor platform

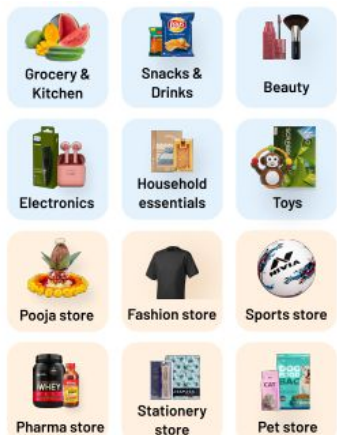
9. Pause and Fix your Unit Economics before they become unmanageable at scale

Blinkit, the Indian Quick Commerce leader paused opening new dark stores but fixed store level orders growth and unit economics

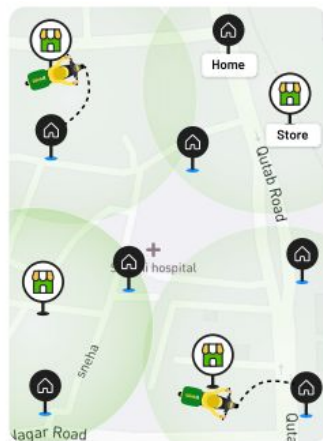
Blinkit is the Quick Commerce leader offering 7000+ SKUs from each of their 2000+ dark stores, consistently in 15 minutes



On demand delivery
in 10 minutes...



... of a wide assortment
of products across
categories...



... through a dense network
of stores located in a 2-3km
radius from customers

Why is quick commerce working?

1.

Mirrors existing offline customer behavior in India - frequent top-up purchases delivered quickly when needed

2.

Addresses majority of customer's needs across multiple categories such as food (staples and fresh), electronics, beauty, general merchandise, festive needs ++

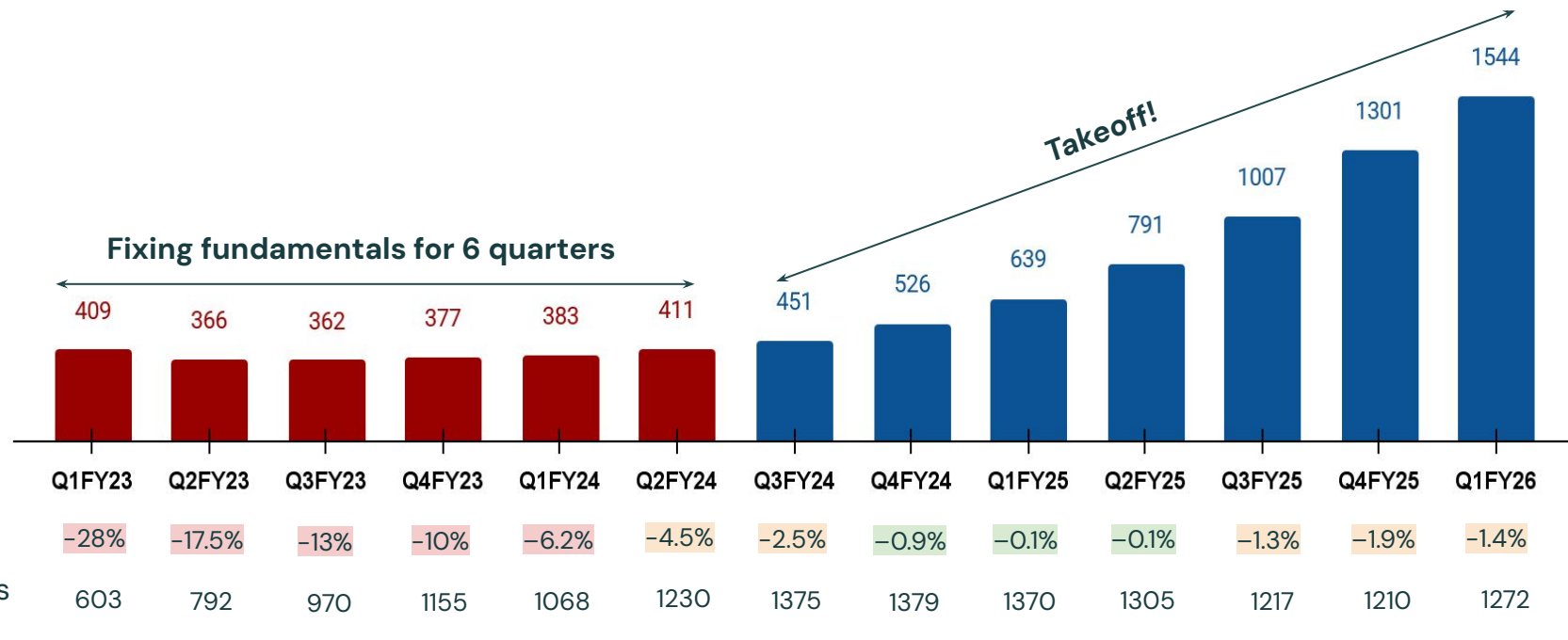
3.

Reliable quick delivery eliminates the need for planning

9. Pause and Fix your Unit Economics before they become unmanageable at scale

Blinkit, the Indian Quick Commerce leader paused opening new dark stores but fixed store level orders growth and unit economics

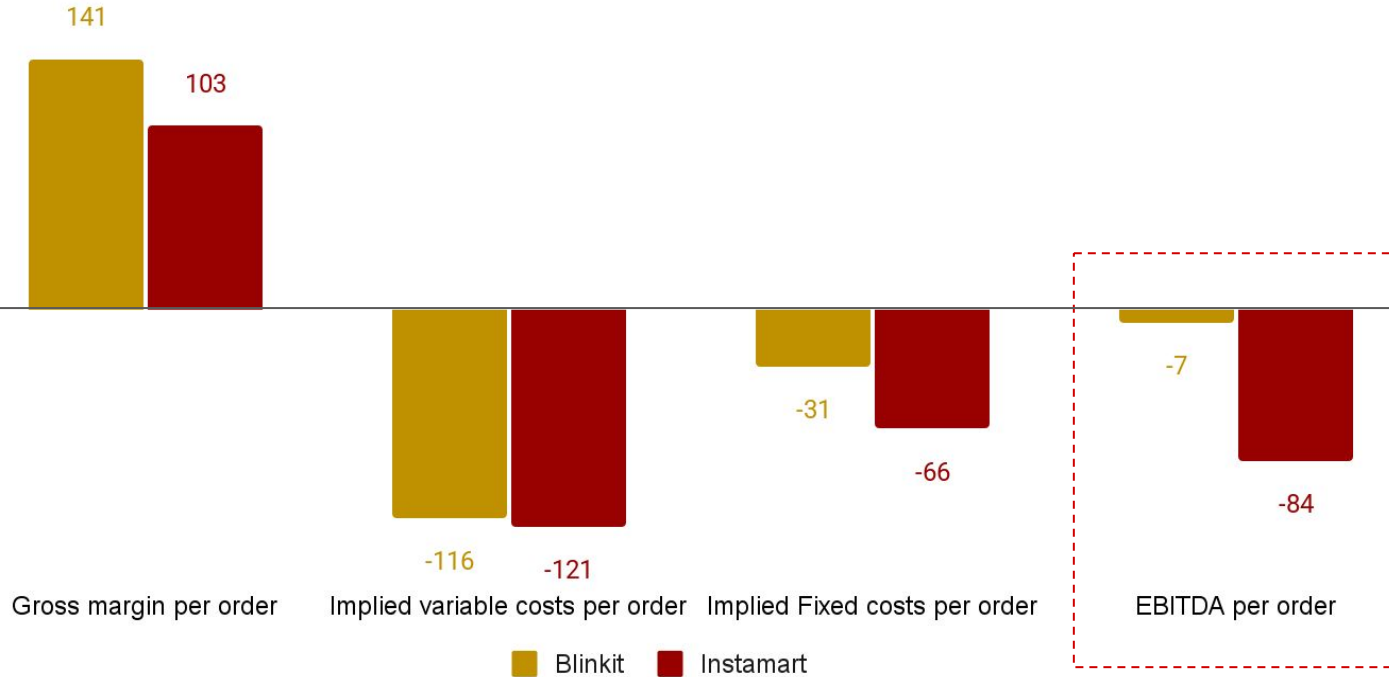
Number of Dark Stores (Blinkit)



9. Pause and Fix your Unit Economics before they become unmanageable at scale

The unit economics advantage is very clearly seen in comparison of **Blinkit** with its closest competitor **Instamart**

Blinkit and Instamart per-order economics in Rs. (Q2 FY26)

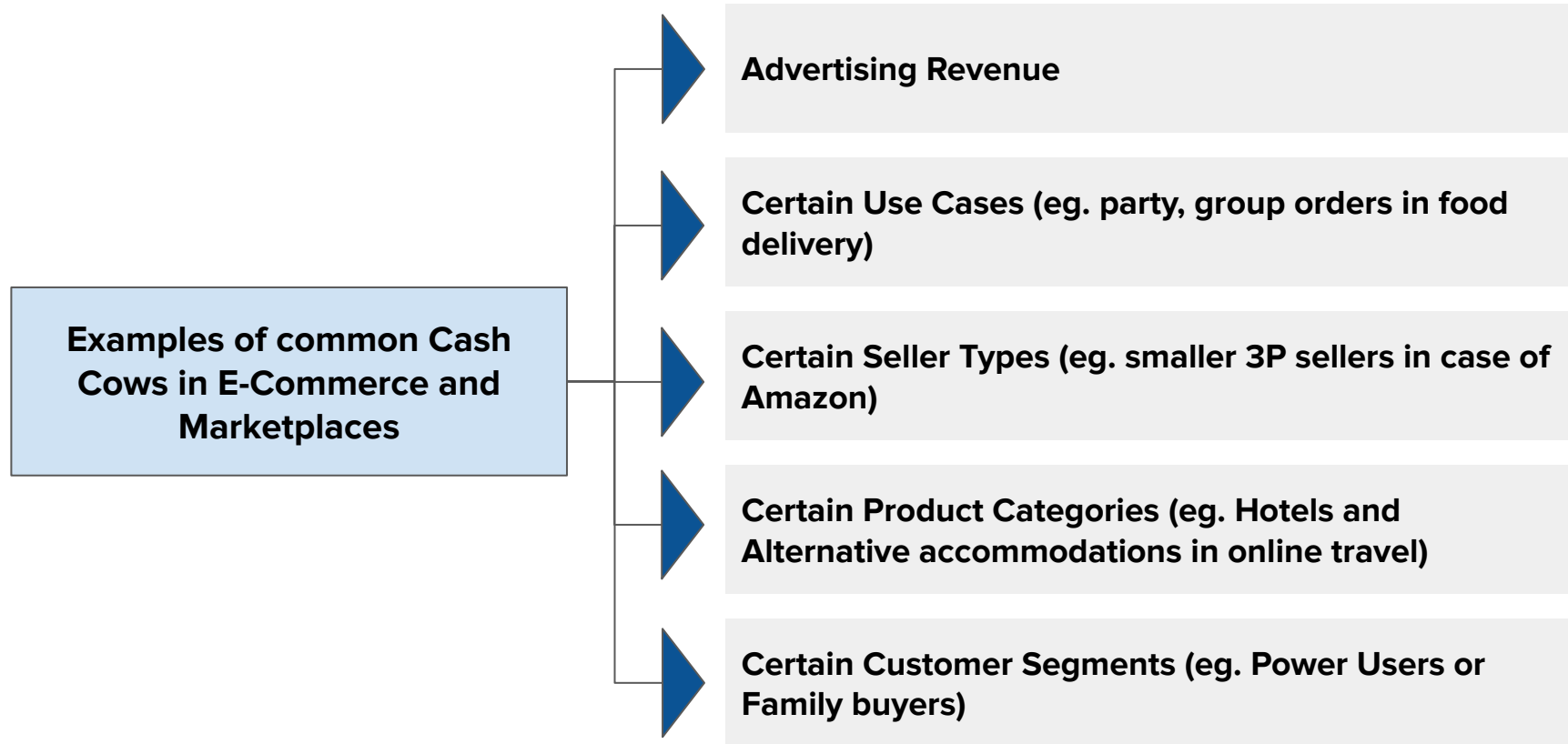


Blinkit financials seem quite attractive at the moment vs. Instamart and also illustrate the challenge of this business

You need sufficient revenue/gross margin – low discounting, good ads revenue, charge delivery fees from customers

Higher orders per store is crucial to bring down the Fixed cost per order

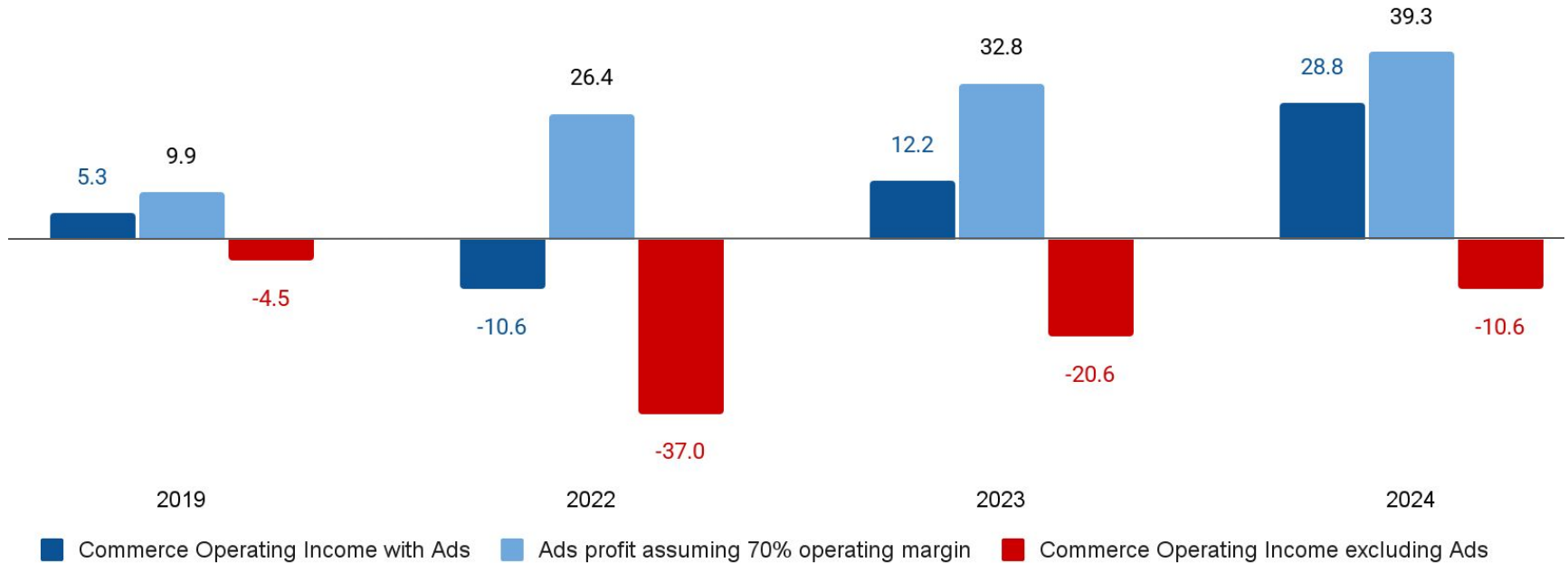
10. Figure out your 'cash cow' that can cushion and subsidize 'war time' spending
E-commerce and online marketplaces inevitably have periods where they have to go to war with newer challengers or existing competitors. Having a cash cow is essential



10. Figure out your 'cash cow' that can cushion and subsidize 'war time' spending

Amazon E-Commerce without Advertising Revenue is a deeply unprofitable business

Amazon Commerce Operating Income with and without Ads (\$bn)



Contents

Common challenges and reasons for Growth struggles	4
What can be done to turnaround Growth	33
Leadership Behaviors in a Crisis - The Good and The Bad	90

Leadership Behaviours during search for growth or crisis can be shaped based on three important elements

Strategic honesty in diagnosing the problem

- Can you frankly and accurately describe the root problem? (eg. problem not important or solution does not stand out)
- Is there common understanding in the Org on the root problem?

Willingness to Enact Change and Be Aggressive

- Are you willing to enact change - i.e. pushing for aggressive change in direction if needed
- Are you willing to reorganize and restructure and take important people calls?

Willingness to Focus

- Are you willing to focus - i.e. removing distractions, postponing certain ambitions to do the necessary things first?
- Are you setting example to your org on Focus and does the message cascade across?

Leadership Behaviours during search for growth or crisis can be shaped based on three important elements needed

Leadership Archetype	Problem Honesty	Change	Focus
The Crisis General	✓	✓	✓
The Reluctant Surgeon	✓	✗	✓
The Overambitious Driver	✓	✓	✗
The Frozen Deer	✓	✗	✗
The Unreflective Hiker	✗	✓	✓
The Random Gambler	✗	✓	✗
The Sitting Duck	✗	✗	✓
The Ostrich	✗	✗	✗

Let us look at a few examples

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Crisis General



Problem Honesty

Willing to Drive Change

Willing to Focus

Jeff Boyd, a lawyer by training joins in 2001 as CEO. Priceline had dropped 99% in value after the dotcom bust and after 9/11

He recognizes the limiting appeal of 'name your price' model and picks Hotels and then Europe as the focus area. Makes pivotal acquisitions in Hotels and Europe including Booking.com that sets the stage for massive boom



zomato

blinkit

Indian Food Delivery giant Zomato (now called Eternal Group) survived multiple crises. Ramped up own food delivery network in 2017, 2018

Stock cratered in 2021 as it went public. Made the bold acquisition of Blinkit, a heavily loss making Quick Commerce company. Stabilized it and is the runaway market leader in Quick Commerce in India today

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Overambitious Driver

Problem Honesty

Willing to Drive Change

Willing to Focus



Ambitious own-delivery fleet focusing on suburbs first with aggressive growth. Burned money at a fast clip and had to raise a round in 2017

Raised money from Softbank in 2018 and instead of slowing down, tripled locations and GMV! Kept gaining market share with rapid expansion and losses but bet has paid off heavily during pandemic



Market leader and leading super-app in Southeast Asia (mobility, Eats and more)

Very aggressive player and was making negative revenue in 2019! (discounts higher than commissions) but has since stabilized and has turned around profitability

Pushes in multiple verticals from mobility to food delivery to financial services and offline grocery. Bets have paid off so far

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Reluctant Surgeon

The Etsy logo is displayed in a large, orange, serif font.

Problem Honesty

Willing to Drive Change

Willing to Focus

Platform with Unique Selection that is difficult to find elsewhere

Strength is supply from millions of independent, small artisans

But struggling to expand appeal and convincing customers to buy more

Problems being solved are more incremental in nature rather than big change



Disrupted by Netflix DVD and forced to launch an online rental operation

Identified the problem and was willing to fund but felt woefully short of driving organizational change needed to win

Poor change management. Stores were against online. Should have launched a challenger separate from the existing organization to move with speed

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Unreflective Hiker

Problem Honesty

Willing to Drive Change

Willing to Focus



The Platform is sitting on a massive monthly user base and has very good brand trust for travel reviews

The company is not able to convert this into transactions and bookings

It seems to have given up on solving for growth via Tripadvisor brand and is growing via Viator and Fork acquisitions (Experiences and Dining)

There seems to be willingness to change and necessary focus on new segments but a lack of awareness and ideas on the problems with the mother brand

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Random Gambler

ocado[®]
GROUP



Problem Honesty

Willing to Drive Change

Willing to Focus

Ocado is an online Grocery Delivery pioneer in the UK

It is known for its highly automated warehouses with cutting edge assortment and tech

Instead of growing the online Grocery market, it decided to become an automation company and tried to build its automation tech (micro-fulfillment centers) for global clients like Kroger but is not doing well there either

After a decade, it has not done well in either segment. Stock is down 90% from pandemic peak

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Random Gambler

Problem Honesty

Willing to Drive Change

Willing to Focus

Too many businesses (food delivery) in too many geographies (70 countries!)



Delivery Hero



Delivery Hero SE

ETR: DHER

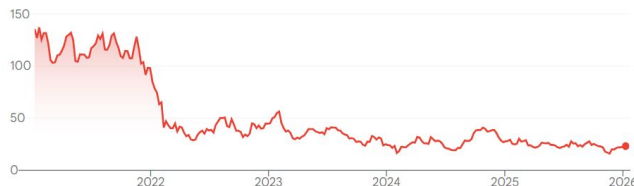
+ Follow

22.93 EUR

-112.62 (-83.08%) ↓ past 5 years

7 Jan, 1:13 pm GMT+1 • [Disclaimer](#)

1D 5D 1M 6M YTD 1Y 5Y Max



Europe

foodora

Glovo

efood

foody

MENA

talabat

HUNGER STATION

Yemeksepeti

instashop

Americas

PedidosYa

Asia



foodpanda

Integrated Verticals

D mart

FinTech

Other Verticals

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Frozen Deer

Problem Honesty

Willing to Drive Change

Willing to Focus

The ASOS logo is displayed in a bold, black, lowercase sans-serif font.

Recognizes that it is losing relevance in the market amidst heavy competition but there is little willingness to change or willingness to focus

Focus: Continues to battle and spend money in US market where there is no right to win. It will have to pull back and focus on the core European market especially in UK

Driving Change: There has to be a radical repositioning of the platform either in value proposition or offering as it is losing relevance in its claimed customer segment of 'twenty somethings'

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Sitting Duck

Problem Honesty

Willing to Drive Change

Willing to Focus



Hellofresh continues to be the market leader by far in the meal kit delivery space...

... the problem though is that the space itself is shrinking and customers are not keen on the solution

Hellofresh continues to optimize and tweak its offerings: example offering a minimum of 4-kit purchase instead of previous 6. It offers a new salad range

But it does not address the core problem - customers don't find the problem very important

Leadership Behaviours illustrated in various companies (Personal Opinion!)

Ostrich

Problem Honesty

Willing to Drive Change

Willing to Focus

Wish.com was driven by discounts and aggressive marketing spends. When the pandemic was ending and when ads became expensive due to Apple privacy update, Wish did not address the core problem and responded with very irrelevant changes and distractions



What's next for Wish

Wish is not taking its challenges lying down. Instead, the company is taking radical steps to improve user engagement and retention, aiming to return to growth sooner rather than later.

For a start, Wish plans to introduce more globally recognized brands onto its marketplace. It is also overhauling its algorithms to prioritize products and merchants with more positive user ratings, boosting the quality of products sold on its platform. Wish also wants to improve its user experience by rolling out social commerce and entertaining features such as live-streaming and video reviews. Lifting a page from the playbooks of social commerce specialists like Pinduoduo and Douyin could help Wish retain existing shoppers -- and attract new ones.

Thank You!!